Exploring innovation practices amongst licensed microfinance institutions in Cambodia

Marcela Binova

Learning and innovation go hand in hand. The arrogance of success is to think that what you did yesterday will be sufficient for tomorrow

William Pollard

Statement of Originality and Finality

In presenting this dissertation for assessment, I declare that it is a final copy including last revisions. I also declare that it is entirely the result of my own work other than where sources are explicitly acknowledged and referenced within the body of the text. This dissertation has not been previously submitted, in whole or in substantial part, for any degree at this or any other institution.

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December 2013

If you are citing this work, please refer to it as:

Marcela Binova 2013 Exploring innovation practices amongst licensed microfinance institutions in Cambodia, Dissertation submitted for the award of MA Leading Innovation and Change; York St John University

Abstract

This dissertation is a study of innovation practices amongst licensed microfinance institutions (MFIs) in Cambodia. To set the context, the literature review explores institutional innovation practices and processes and the relevance of theoretical frameworks to developing countries, moving to innovations in the microfinance sector with focus on MFIs, and eventually exploring the innovation practices amongst MFIs in Cambodia.

Based on a detailed outline of the primary research methodology, the study presents data collected during semi-structured face-to-face interviews with executives from ten licensed MFIs familiar with their organisational innovation practices. This is followed by a discussion of their innovation related practices and behaviours, including favoured types of innovation, the motivations for being innovative and encountered obstacles.

The analysis highlighted that although product innovation dominates across MFIs, other innovations such as delivery channel, strategy and customer-facing processes are also perceived as important, although discrepancies exist between prioritised and actually implemented innovation efforts. MFIs use a wide range of methods to obtain and develop innovation ideas from staff and customers, although challenges including national culture impairing free information sharing and sub-optimal customer education levels impacting feedback-methods utilisation exist. The analysis also points to innovation processes being largely informal. MFIs collaborate with 3rd parties to supplement internal skills and knowledge, however, omitting consultants, investors and donors, other collaboration partners seem underutilised. The key motivator for innovation is found to be customer satisfaction, followed by product expansion, quality improvement and efficiency increase, whereas lack of access to information about technology, insufficiently skilled staff and lack of funds are seen as the three key obstacles.

Keywords:

Microfinance, innovation, microfinance institutions, MFIs, innovation type, innovation process, developing countries

Acknowledgements

I would like to thank the following people for the important role they played in enabling me to complete my dissertation:

- Udo for his patience and time spent on reading my drafts, listening to my ideas and always remaining constructive and professional when sharing his insights and comments
- My father and mother for their support, encouragement and always believing in me
- My supervisor, Professor John Gunson, for his time and advice on all aspects of my dissertation
- The Head of Research Department at AMK in Phnom Penh, Sophy Pum, for being supportive, flexible and understanding of my needs to attend MFI interviews during working hours
- The General Secretary of Cambodian Microfinance Association, Sophea Hoy, for her invaluable input enabling contact to the right people within the microfinance institutions
- All the MFI executives who took the time from their busy schedules to share their invaluable insights during the interviews
- The co-founder of the social venture Ubelong, Cedric Hodgeman, for facilitating my work placement in Cambodia
- To staff in Star Kampuchea, for their on-the-ground support during my work in Cambodia
- My colleagues and support staff in Accenture, for enabling me to take leave from work needed to conduct field research in Cambodia and for their understanding and support when I returned to work and was working on my dissertation
- My colleagues and tutors on the MALIC program for their support, guidance and rewarding experience

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List of Abbreviations

AHD	American Heritage Dictionary
AMK	Angkor Mikroheranhvatho Kampuchea (MFI)
AML	Anti-Money Laundering
ARCM	Asian Resource Centre for Microfinance
CBC	Credit Bureau of Cambodia
CEO	Chief Executive Officer
CGAP	Consultative Group to Assist the Poor
CMA	Cambodian Microfinance Association
CMO	Chief Marketing Officer
COO	Chief Operations Officer
FX	Foreign Currency Exchange
FS	Financial Services
HR	Human Resources
IP	Intellectual Property
MFI	Microfinance Institution
MS	Microsoft
NBC	National Bank of Cambodia
PoS	Point of Sale
R&D	Research and Development
RBC	Rural Bank of Cambodia
RDB	Rural Development Bank
SME	Small and Medium Enterprise
TSP	Technical Services Provider
UN	United Nations
UNCTAD	United Nations Conference on Trade and Development

1. Introduction

1.1 Background

The 1990s saw microfinance worldwide catapulted into the spotlight. Whilst the provision of 'financial services for poor and low-income clients' (CGAP 2013) was historically seen as a loss-making social enterprise, the institutionalisation of microfinance by the likes of ACCION and Grameen Bank in the 1970s (Krieger 2006), followed by reports of profitability accompanied by the presumed poverty alleviation impact (Roy 2003, Bateman 2011) prompted a boom amongst microfinance institutions (MFIs) and stimulated cross-disciplinary interest (Robinson 2001).

In Cambodia, the evolution of microfinance followed a slightly different path. Initially filling the vacuum left by the abolition of the banking sector by the Khmer Rouge and the town-centred presence of re-appearing commercial banks (ARCM 2005), Cambodian microfinance has evolved from many unsustainable, donor-financed projects to a commercially viable and regulated industry, coined by Flaming et al (2005:5) as 'arguably the most sophisticated part of the national financial sector'.

Despite a track record of sectorial growth and the critical role microfinance plays in the Cambodian development agenda, local MFIs are facing a multitude of pressures calling for appropriate alignment of their organisational strategies (Kim 2000, Flaming et al 2005, ARCM 2005). Innovation capability is arguably an important determinant of MFIs' ability to address these challenges successfully (Dary 2013, Firpo 2006), following the widespread mantra 'innovate or die' (Getz and Robinson 2003:130). This is supported by Von Pischke's (2002:371) assertion that 'competitive financial markets are naturally highly innovative'.

However, notwithstanding the plethora of microfinance-related literature worldwide (Marakkath 2012, Robinson 2001) including general Cambodia-specific publications (Flaming et al 2005, Kim 2000, ARCM 2005) and the occasional report of Cambodian MFI innovations such as AMK's mobile savings (Agoramicrofinance 2012) and HKL's SmartVisa e-payments (BPC 2013), no study exploring Cambodian MFIs' organisational approaches to innovation has been identified.

Although the need to innovate remains generally undisputed, evidenced by publications linking innovation to performance (e.g. Laforet 2011, Dess and Picken 2000), little is known about how MFIs approach innovation, what motivates and hinders them. This study seeks to address this gap, extending the reviewed research by exploring innovation-related practices and behaviours in a sample of 10 licensed Cambodian MFIs. The author's own professional experience in banking and microfinance sectors in developing and developed countries was also consequential when designing the study and interpreting results.

1.1.1 Licensed MFIs

At present, 32 licensed[1] MFIs including 7 deposit-taking MFIs[2] (NBC 2013) operate in Cambodia, alongside many registered and non-registered NGOs, money lenders and traders (Vada 2010). Informal lending networks such as family, friends and neighbours are also prevalent, adding complexity to the landscape within which MFIs operate (Bínová 2013).

Only licensed MFIs, being part of the formal banking system, are subject to this research. This is due to the critical role they play in national development, also determined by their ability to innovatively deal with environmental pressures (Dary 2013).

1.1.2 Need for innovation

Strong economic growth, limited outreach of commercial banks and strong regulatory regime supported by the recent launch of a credit registry and reporting enforced by the CBC make Cambodia one of the best microfinance environments in the World (mixMarket 2012). However, more needs to be done. Appreciating the role of microfinance in facilitating national growth, the NBC strives for a systematic sectorial development through the implementation of the Financial Sector Development Strategy 2006-2015, focusing on policy enhancement and implementation, supervision and regulation strengthening, financial infrastructure build-up, institutional capacity creation and pro-poor orientation (Vada 2010).

However, alongside these macro-level initiatives, MFI-level developments are also required (Vada 2010). This is emphasised by the multitude of environmental challenges including competition, technological developments, growing client demands and regulatory requirements (Kim 2000, Flaming et al 2005). The need for innovation is for instance evidenced by the strong credit focus, partially explained by regulatory constraints and partially by consumers' distrust of the formal financial institutions, and deposits in particular (Channy 2010). Further, the limited size of MFIs suggests difficulties to scale-up (Bínová 2013), with CMA (2011) reporting only 8 licensed MFIs with more than 500 employees, and many of the 21 MFIs with less than 100 employees having less than 30 staff.

Understanding MFIs do not operate in isolation and are part of a wider microfinance, national and global landscape, this study explores MFI-level innovation behaviours whilst considering wider environmental implications, changes and challenges. This contextual setting is considered in the next section addressing research methodology.

[1] Licensed MFIs are national and international financial organisations and credit operators, who governed by the 2000 Prakas issued by the NBC, transferred themselves into MFIs and joined the formal banking system (RDB 2004). Prakas or proclamations are ministerial or inter-ministerial decisions signed by the relevant Minister(s). A proclamation must conform to the Constitution and to the law or sub-decree to which it refers. (KD Consulting 2009)

[2] Deposit-taking MFIs are licensed in line with Prakas issued in 2007 to accept voluntary deposits (NBC 2007).

1.2 Methodology overview

A mixed-method approach of data collection and analysis is used, determined by the research focus and objectives. The sequence of methodology is as follows:

1. Review of literature and theoretical findings on innovation theories and their implications for developing countries, followed by a literature review of innovation practices amongst MFIs worldwide and in Cambodia.
2. Adoption of a combined *post-positivism* and *interpretivism* research philosophy supported by dual descriptive and exploratory approach. The study utilises a mixture of qualitative and quantitative data collection methods administered by a semi-structured interview of executives in a sample of 10 MFIs of different sizes. This primary data research methodology was selected in a quest to utilise existing insights into MFI innovation to enable measurability and comparability of quantitative data, supported by qualitative in-depth exploration.
3. Analysis of findings set within the context of the reviewed literature is supported by various methods including frequency counts and response weighting (quantitative data), as well as data categorisation and coding of qualitative responses, identifying themes.

1.3 Research objectives

The research question is: How do Cambodian MFIs translate the environmental pressures and aspirations to innovate into their internal processes and behaviours.

The objectives of this study are to:

1. Review firm-level innovation literature in the context of developing countries, Cambodia and the microfinance sector.
2. Assess which types of innovation are considered most important by Cambodian licenced MFIs and which are adopted in practice.
3. Explore MFIs' internal processes and behaviours put in place to stimulate the generation and management of innovative ideas.
4. Identify key motivating factors and obstacles to MFI innovation.

1.4 Dissertation outline

The study is divided into five main chapters, followed by a bibliography and appendixes. Chapter 1 sets the background, context and rationale for this study, outlining characteristics of the microfinance sector in Cambodia and the role of licensed MFIs. Chapter 2 reviews innovation theory literature and the implications for developing countries, followed by narrower focused review of microfinance innovation and that of MFIs specifically, finally aspiring to identify MFI-level innovation research in Cambodia. Chapter 3 provides an overview of the research methodology, followed by Chapter 4 outlining research findings and analysing these in context of the literature presented. Chapter 5 contains conclusions and recommendations for further study, presenting limitations and researcher's reflections on the dissertation process.

2. Literature review and theoretical framework

2.1 Introduction

Despite the appreciation of innovation as a determinant of competitive advantage and organisational success (Dess and Picken 2000), supported by various industry surveys reporting innovation as key to high performance (e.g. Koetzier and Alon 2013), there is a bewilderingly diverse multitude of theories, models and studies without apparent consensus (Goffin and Mitchell 2010). Similar diversity applies to innovation definitions (Rogers 1983, West and Farr 1990) and classifications (Agosin 1999, Hobday 2005, Lariviere and Martin 1998, Damanpour 1991).

By overlaying the specifics of developing countries, microfinance, MFIs and Cambodia, the narrowing focus disappointingly fails to provide a clearer picture. Instead, it highlights gaps in the scholarly focus driven by factor-, economy-, industry- or geography-specific publications, leaving MFI innovation practices in Cambodia unexplored.

This chapter seeks to provide a theoretical grounding for this study, reviewing available literature to set the context and provide themes and pointers to be utilised and evaluated during the research design and analysis. It begins by conceptualising and classifying innovation, followed by an overview of innovation theories and the implications for developing countries, providing context for and informing this study. Next, innovation studies in the microfinance sector are discussed, seeking to evaluate publications specific to MFIs and MFIs in Cambodia.

2.2 Understanding innovation

2.2.1 Innovation defined

Defining innovation is by no means straightforward. This is partially due to the often interchangeable use of the term with creativity, and partially due to the different angles and degrees of broadness in definitions.

Despite innovation and creativity being related, there are important differences. Franken (2001:396) sees creativity as 'the tendency to generate or recognize ideas, alternatives, or possibilities that may be useful in solving problems, communicating with others, and entertaining ourselves and others'. Creativity is thus the ability to generate novel ideas, without the dependency to practical implementation. This is supported by the Business Dictionary (2011) defining creativity as 'a mental characteristic that allows a person to think outside of the box, which results in innovative or different approaches to a particular task'. Creativity is therefore an enabler of innovation. However, the various definitions below suggest, creativity is often perceived as an integral part of the innovation process.

Innovation is in very simple terms described by the AHD (2013) as ‘the act of introducing something new‘. This calls for the specification of the ‘something’, the ‘new’ and ‘introducing’, creating the three key sources of differences between definitions.

As shown in Table 1, whereas West and Farr (1990) see the ‘something’ as a process, product and procedure, Nohria and Gulati (1996) expand this to structure and policy, and Damanpour (1991) includes device, system and service. Similarly, the aspect of organisation to which the ‘newness’ applies varies, ranging from the industry as a whole (Schumpeter 1930) to the actual manager of adopting unit (Nohria and Gulati 1996).

Innovation definition	Author(s)
Innovation seen as the introduction of a new product or a qualitative change in an existing product, process innovation new to the industry, the opening of a new market, development of new sources of supply for raw materials or other inputs, and changes in industrial organisation.	Schumpeter (1930)
‘The intentional application and introduction within a job, work team, or organisation of ideas, processes, products, or procedures which are new to that job, workstream or organisation.’	West and Farr (1990:9)
‘An internally generated or purchased device, system, policy, program, process, product or service that is new to the adopting organisation.’	Damanpour (1991:556)
Innovation includes any policy, structure, method or process, product or market opportunity that the manager of the innovating unit perceived to be new.	Nohria and Gulati (1996)
‘An idea, practice, or material artefact perceived to be new by the relevant adoption unit.’	Zaltman et al (1973:10)

Table 1 Innovation definitions summary

Regarding the focus, or lack of it, on ‘introducing’, Hobday (2005:122), for instance, defines innovation in terms of the tangible outputs as ‘product, process or service new to the firm’, omitting the innovation process itself, which is conveniently addressed by stage models.

Despite varied terminology and stage numbers, a model comparison shows similarities with the process starting with the identification and consideration of potential innovation, followed by the decision to adopt and the implementation itself, complete with the value realisation. Overlaying Rogers’s (1983), Cooper and Zmund’s (1990) and Klein and Sorra’s (1996) models, Sawang (2008) compellingly proposes the alignment to four stages, namely pre-adoption, adoption, implementation and post-implementation (Table 2).

Author / stages	Pre-adoption	Adoption	Implementation	Post-implementation
Rogers (1983)	Knowledge Persuasion	Decision	Implementation	Confirmation
Klein and Sorra (1996)	Awareness Selection	Adoption	Implementation Routinisation	Evaluation
Cooper and Zmund (1990)	Initiation	Adoption	Adaption Acceptance Routinisation	Infusion

Table 2 Stage organisational innovation models (adopted from Sawang 2008)

For the purpose of this research, the various views have been integrated to define innovation as new or significantly improved systems, processes, products, procedures or methods of working; that are perceived as new within the MFI's context, or microfinance in Cambodia generally. Innovation activities and processes are then all those steps necessary to identify, develop and implement innovation.

2.2.2 Innovation versus imitation

If the 'perception of newness', rather than the newness itself matters (Rogers 1983), an imitation in a new context can constitute innovation. Particularly in developing countries where resources are scarce and capabilities limited (e.g. Léger and Swaminathan 2005, Hobday 2005); imitation seems to be a vital source of innovation. This is echoed by the UNCTAD (2007:37), advocating companies in developing countries being innovative by learning from others instead of pushing 'the global knowledge frontier'. The main implications of this statement seem twofold.

Firstly, companies need to be capable of understanding and imitating innovations. Secondly, there needs to be a link amongst the developing country firms and the rest of the world, where innovations can be observed. The criticality of both aspects is also emphasised and debated by the UNCTAD (2007), albeit their focus is on technological catch-ups[3]. Both concepts are discussed in Chapter 2.3, addressing the implications of knowledge and learning, and external cooperation.

2.2.3 Innovation classification

Innovation has been classified from multiple angles including the area being innovated (e.g. Hobday 2005, Agosin 1999), the degree off innovativeness ranging from incremental to radical (Goffin and Mitchell 2011, Tidd and Bessant 2009) and the companies' strategic stance including proactive, active, reactive, passive (Dodgson et al 2008).

Organisational innovation is often simplistically limited to product and process (e.g. Hobday 2005). However, as Hipp and Grupp (2005) suggest, this seems biased towards manufacturing, omitting

[3] Catch-up refers to companies in developing countries coming 'from behind the technology frontier' and 'catching-up' with the wealthier economies, often through imitation of technology innovation and learning from developed companies (Hobday 2005: 129)

broader innovations in services. Further, it ignores non-technological innovation including organisational structures and strategies. Schmidt and Rammer (2007) assert that to see the whole picture, a broader look is required.

2.2.4 Innovation in microfinance

Specifically addressing microfinance, Lariviere and Martin (1998) echo the importance of product and process innovation, but include strategies, organisational arrangements and incentive structures as key indicators stimulating improved viability and outreach. UNCTAD (2007) adds marketing innovation and Agosin (1999) highlights systems innovation, where governments play a key role in enabling MFIs to react to market needs.

Von Stamm (2008) argues that product innovation is generally perceived as key, supported by Drew's (1995) study of the FS sector. Whereas this might apply to microfinance supported by e.g. Llanto and Fukui (2006), Aghion and Morduch (2004) presenting various product enhancements when discussing the latest sectorial developments, other publications suggest the industry-specific challenges including poor infrastructure, sub-optimal education and literacy and customer attitudes require a broader approach.

Accompanying microfinance services, Kasat (2010) compellingly presents a case for customer education and business development training in India, supported by Cohen's (2010) financial literacy agenda and Mahajan and Vasumathi's (2010) MFI providing institutional development services including functional training, strategic collaboration and entrepreneurship. Lonie (2010) and Giné (2010) then focus on distribution channels, advocating mobile banking technologies and biometric systems respectively, evidencing the narrowness of simple product and process innovation views.

Firpo (2006) urges that MFIs innovative capabilities are paramount to reaching sustainability and outreach, and Hans (2009) extends the role of innovation to increasing customer satisfaction and convenience. According to Dary (2013), MFIs' capacity to innovate determines their ability to achieve their dual, social impact and financial sustainability, objectives. However, Lascelles (2012:33) cautions that although 'the ability to innovate is increasingly seen as an element of survival', MFIs are often found wanting.

2.3 Innovation and developing countries

2.3.1 Evolution of organisational innovation models

There is no shortage of innovation literature. Models have evolved from an orderly linear technology push and market pull addressing product innovation and excluding externally-obtained ideas (Read 2000), towards more environment-conscious theories incorporating regular feedback loops with the market place (Tidd and Bessant 2009, Rothwell 1992), albeit still criticised for their fundamentally sequential nature and oversimplification of reality.

Calling for more encompassing approaches reflecting intra-firm cross-functional collaboration and cooperation with external parties, integrated and systems models were born (Rothwell 1992). However, as Hobday (2005) and others (i.e. Davenport 1996) argued, their shortcomings include limited applicability to some industries and over-emphasis of IT, neglecting the human aspect of innovation where IT-enabled automation is unlikely to compensate for team building, creative human interaction and leadership.

Rothwell (1992) summarised this evolution in conceptualising innovation by categorising models into five generations (Table 3), accepting that partial overlaps and parallel popularity exist, where this overview outlines shifts in dominant perception rather than actual progress. Addressing the period post Rothwell's classification, Hobday (2005) opines that later models fall into generation four or five.

Generation	Key features
1st Generation: Technology push (1950s to mid 1960s)	• Simple linear sequential process • Emphasis on technology-focused R&D • R&D results presented to the market
2nd Generation: Market (or need) pull (mid 1960s – 1970s)	• Simple linear sequential process • The market is source of ideas and drives R&D focus with R&D being in a reactive position • Emphasis on marketing
3rd Generation: Coupling models (mid 1970s – 1980s)	• Sequential model, although feedback loops to earlier stages incorporated • Involves push and pull combination with marketing and R&D more in balance • Emphasis on integration at the R&D – Marketing interface
4th Generation: Integrated models (early 1980s – 1990)	• Development teams are integrated with strong upstream supplier linkages and partnerships • Leading edge customers utilised for ideas and feedback • Emphasis on integration between manufacturing and R&D • Horizontal collaboration including joint ventures and strategic partnerships
5th Generation: Systems integration and networking model (post 1990)	• Fully integrated parallel development supported by advanced information technology • Use of expert systems and simulation modelling in R&D • Customer focus at the forefront of the strategy • Strategic integration with primary suppliers including co-development of new products and linked CAD systems. • Horizontal linkages including joint ventures, collaborative research groupings, collaborative marketing arrangements • Emphasis on corporate flexibility and speed of development. • Increased focus on quality and other non-price factors

Table 3 Five generations of innovation models (compiled from Rothwell 1992, Tidd 2006)

Additionally to the above-mentioned shortcomings, a detailed review of innovation models suggests a predominant focus on large, well-structured market-leading companies in industrialised countries with sophisticated R&D facilities, and a common ambition to come-up with the next cutting-edge product or process, new to the marketplace, if not the World (Hobday 2005). However, given the heterogeneity of internal and external organisational environments already emphasised by Schumpeter (1934), this uniform view seems over-simplistic. Mahdi (2002) substantiates this by highlighting a variety of organisational innovation practices and processes across industries, driven by differences in contextual variables. Arguably, this particularity of theoretical focus impairs their applicability to developing countries.

2.3.2 Developing country applicability

Contrary to the developed world generally characterised by high economic strength and innovative capability (Léger and Swaminathan 2007), developing countries are challenged in one or both of these areas, as with Cambodia, classified as one of the least developed countries with low income, high economic vulnerability and weak human assets (World Bank 2013). The market forces and organisational characteristics underpinning the traditional innovation models including large company size, market-leading position, strong R&D capability, technology-focus and availability of skilled workforce (Hobday 2005), are in the developing context not granted, arguably impairing the relevance of standard innovation models.

Léger and Swaminathan (2007) highlight a generally limited market-pull due to low purchasing power and 'information failure' amongst clients, high transaction costs and weak institutions, with technology-push uncommon due to the lack of substantial R&D and weak knowledge-base (Hobday 2005). The often sub-optimal education levels and knowledge-sharing structures in developing countries not only impact the organisational capabilities, but also the market's innovation absorption ability (Aubert 2005).

Further, whilst IT-focus across models prevails, Hobday (2005) and others (e.g. Kim 1980) assert that none deals with technology catch-ups, failing to address medium or small firms with no official R&D departments and more informal innovation processes, common in the developing world. Aubert (2005) adds that dependency on the provision of technology and knowledge from industrialised countries exists, not addressed in traditional innovation models. Additionally, given the variety of microfinance innovation types (see Chapter 2.2.4), the strong IT focus seems inadequate.

Although this review suggests consensus about the limited applicability of discussed theories to developing countries, a deeper look is required to further explore developing country specific variables impacting innovation.

2.3.3 Innovation studies in developing countries

Several studies analysing developing country innovation specifics were identified. Whilst a handful of more recent studies providing useful insights exists (Srholec 2011, Léger and Swaminathan 2007, Hobday 2005, Arocera and Sutz 2005, Aubert 2005, Lundvall et al 2002), other explored publications date back to the last millennium (e.g. Kim 1980, Lall 1992, Hobday 1995, Teece et al 1994, Mytelka 1999, Cooper 1991, Havelock and Huberman 1979, Lee 1970). In the context of this study all are useful to highlight important relevant variables, provided that the study-specific innovation-level, innovation-classification, industry or country focus is considered.

The different innovation study angles explain the varied focus and objectives of identified contributions. Srholec (2011), analysing the role of systems using data from 15000 firms in 32 developing countries, advocates a multi-level model encompassing the interplay of national conditions and firm characteristics. From a purely theoretical stance, Léger and Swaminathan (2005) iterate the importance of this relationship whilst defining a new holistic framework. Lall (1992) and Kim (1980) discuss local conditions as key determinants of IT innovation, and Arocera and Sutz (2005) connect the Latin American national innovation systems to the development theory, informing an analysis of underdevelopment. Hobday (2005), addressing technological catch-up, highlights implications of standard models to industrialising countries, whereas Mytelka (1999) explores innovation processes as means of stimulating competitiveness. Other authors including Cooper (1991), Havelock and Huberman (1979), Lee (1970) seek to inform policy making, focusing on technology, education and administration innovations respectively. Despite the variety of angles, some useful consistencies and themes exist.

2.3.3.1 Systems view

On a high level, the systems theory encompassing internal and external variables seems well suited to exploring innovation in developing countries, recognising the sensitivity of firms' innovation abilities to contextual factors including firm demographics and national specifics (e.g. Arocera and Sutz 2005, Kim 1980, Hobday 1995, Hobday 2005). However, as Srholec (2011) points out, although theoretical reasoning of contextual importance is plentiful, empirical research underpinned by quantitative findings is scarce. Further, Izadi et al (2013:150) caution that theories are useful as broad reference frameworks used to 'benchmark new patterns and thereby make sense out of them', not as prescriptive innovation guides indiscriminative of a company's characteristics and circumstances.

2.3.3.2 Informal innovation processes

Contrary to the formalised, R&D-heavy approaches, developing country innovation tends to be informal, without explicit articulation in the enterprise strategy and processes (Hobday 2005, Arocera and Sutz 2005). Hobday (2005) adds that the process specifics will likely vary based on variables including available resources and capabilities, with Mahdi (2002) emphasizing historical achievements, routines, organisational learning, and financial investments. Nevertheless, the OECD (2010) asserts that informal innovation processes characteristic for developing countries are underrepresented in empirical research, with IT-centred R&D capabilities retaining the focus.

2.3.3.3 Availability of experience and skilled human capital

A firm's innovation capability is often linked to the availability of skilled personnel, frequently scarce in developing economies due to sub-optimal education levels and limited experience (Lundvall et al 2002, Léger and Swaminathan 2005, Dary 2013). Arocera and Sutz (2005) differentiate this, however, from the pure availability of information and knowledge. Unlike 'learning societies' rich on engagement in innovation-related activities requiring 'formal and tacit knowledge' and providing ample learning and development opportunities, developing countries lack the same exposure to learning experiences.

This arguably impacts the firm's ability to innovate, but also to imitate. As UNCTAD (2007) highlights, knowledge, albeit often treated as static, requires stimulation and development through learning to enable utilisation through intelligent imitation. It seems prudent to distinguish between mindless imitation irrespective of the context, and an intelligent analysis and adoption of select concepts, as emphasized by Zeller (2001). Shenkar (2010) sees the latter as potentially more important to performance than innovation. It further echoes Hattori and Wycoff's (2002) condition that innovation must create value, supported by Goffin and Mitchell's (2010) assertion that there is no such thing as one size fits all.

This points to the importance of another two innovation-relevant factors, specifically access to external knowledge supplementing firm-level expertise, and inter-organisational co-operation enabling imitation and learning.

2.3.3.4 External and internal collaboration and learning

According to Léger and Swaminathan (2005:19), developing countries often 'depend on industrialised countries for the provision of new technology and knowledge'. Similarly, the UNCTAD (2007) sees the cross-border linkage as critical to enabling IT innovation, supported by Hobday (2005) and Kim (1980). Whilst this is an IT-centric view, broader applicability, either inter- or intra-country, is plausible.

Arocera and Sutz (2005) coin this concept as 'interactive learning spaces', where companies learn and supplement own knowledge by local or cross-border collaboration with external actors, including educators, NGOs and peers. This is supported by Eich (2010) promoting collaboration as key to stimulating innovative thinking. Emphasizing the role of customers, suppliers and competitors, Kim (1980) argues that absorption of information and knowledge from all actors in the firms' external environments enables the identification of innovative ideas, and generates learnings how to import, adapt and improve already existing innovations (imitation).

2.3.3.5 Critical role of governments

Governments in developing countries appear to play a critical role in enabling or hindering innovation. Aubert (2005) and Llanto and Fukui (2006) urge to consider country-specific government initiatives including regulation, policy and institutional strengthening schemes when analysing organisational innovation, and Agosin (1999) emphasizes the role of governments in enabling institutions to innovatively address market needs. However, although Léger and Swaminathan (2005) echo the governments' importance in correcting market malfunctions, Stiglitz (1989) cautions that compared to developed countries, such interventions are less effective due to lower company efficiencies.

2.3.3.6 National culture

Discussing differences in innovation performance independent of institutional systems' similarities, Arocera and Sutz (2005) advocate the consideration of national culture, including collective images of change, interaction networks, trust levels and norms.

Arguably, Hofstede's (2013) cultural dimensions including power distance, collectivism and masculinity are highly relevant, with Cambodia having high power distance commanding obedience, respect and allegiance to superiors, high collectivism prioritising the welfare of a group including reputation and dignity, and high femininity placing value on people and avoiding confrontation (Mai 2013). Discussing Southeast Asia, Diez and Kiese (2007) highlight the ingrained fear of 'losing face' when dealing with others, which influences workplace interactions, corresponding to high collectivism.

This can have an impact on the dynamics when collecting and discussing ideas internally and with customers, with the above attributes potentially hindering free information flow.

2.3.3.7 Company size and access to funding

Léger and Swaminathan (2005) and others (e.g. Dary 2013) highlight a correlation between company size and capacity to innovate, diversify and invest. Many argue (e.g. Hobday 2005, Kim 1980, Havelock and Huberman 1979) firms in developing countries are often small to medium, lacking efficient organisational practices and resources crucial for effective innovation. This supports Rodrik's (2004) observation that such limitations prevent large-scale innovation investments required to achieve profitability, driving innovation investment decisions.

Although the reviewed innovation-related literature is predominantly IT- and manufacturing-centric, focusing on developing countries without many direct references to Cambodia, combining insights from organisational and national innovation systems, identified themes can be useful when designing and analysing this study, drawing attention to variables impacting and perhaps explaining the organisational conduct. Further, although this literature review is not exhaustive, it concentrates on what is pertinent to this study.

2.4 Microfinance innovation

Ever since microfinance gained a worldwide popularity and turned into an industry (Robinson 2001), a multitude of publications sprang up around the field. However, although literature about microfinance innovation is abundant, the global and cross-disciplinary nature of this phenomenon including economics, financial systems, social impact, poverty alleviation, government policy and organisational performance means that a plethora of angles and study focal points exists. A focused look then uncovers gaps and inadequacies, as is the case with empirical studies and literature concerning innovation processes and behaviours of MFIs worldwide, and in Cambodia specifically.

2.4.1 MFI innovation

There is no shortage of current studies about MFI innovations, although it is not the purpose of this paper to provide an exhaustive list. The majority of identified publications addresses the outcomes (e.g. Dary 2013, Mbogo and Ashika 2011, Kasat 2010, Fukui and Llanto 2006, Aghion and Morduch 2004) and impacts (e.g. Noponen 2005, Zohir and Matin 2004, Kabeer 2003, Robinson 2001), frequently discussing the environmental factors impacting MFIs' innovation abilities. However, a comprehensive study exploring how MFIs actually go about being innovative has not been identified.

Despite the studies' narrowness or misalignment in focus impacting the relevance to this research, components are useful in informing the research design, specifically through the inclusion of innovation types, collaboration strategies, motivations and obstacles to innovation, seeking to close the gap of understanding how MFIs approach innovation generation and management. Additionally, reviewing these studies validates the contextual themes identified in Chapter 2.3.3.

For instance, various MFI studies highlight collaboration and learning strategies for stimulating innovation including Marakkath's (2012) MFI/NGO partnership model facilitating cost-effectiveness, with Matthäus-Maier and Von Pischke (2008) highlighting investor engagement and collaboration amongst MFIs and governments, technology companies and other players, corresponding to theme discussed in Chapter 2.3.3.4. Dary (2013) then emphasises the role of MFI attributes including size and human assets in enabling innovation, with Kasat (2010) identifying access to funding as a key innovation capacity determinant. Another example is Fukui and Llanto's (2006) identification of governments as key players in enabling or hindering MFI innovation.

2.4.2 MFI innovation in Cambodia

Despite Cambodian microfinance being developed and often written-about, a look beyond general publications on the historical evolution and current challenges faced by Cambodian MFIs identified no studies exploring MFIs' organisational approaches to innovation.

Alongside generic and fragmented contributions discussing sectorial development and challenges (e.g. Vada 2010, CMA 2010, ARCM 2005, Flaming et al 2005), MFI-level publications generally centre around specific innovation examples including AMK's mobile savings (Agoramicrofinance 2012) and HKL's SmartVisa e-payment solution (BRD 2013).

Although such articles are limited in relevance, their use in providing contextual setting and informing the design of this research is undisputed.

Of particular interest is Flaming et al's (2005) gap analysis of the Cambodian microfinance industry, comprehensively reviewing the local financial system at the micro, meso and macro[4] levels. This

[4] Three levels of the Financial System as described by Flaming et al (2005) are:
Micro: Retail financial services institutions (e.g. NGOs, banks, MFIs) and other suppliers (e.g. money lenders).

review highlights MFI-level challenges including predominant credit-product focus, insufficient technical capacity for growth, unavailability of funding, service delivery quality issues in rural areas and an uneven competitive landscape. On the meso-level, an insufficient credit information exchange, young industry association and lack of industry-wide TSPs are mentioned, although the introduction and strengthening of the CBC and the CMA amongst other initiatives has since 2005 sought to address the main challenges.

2.5 Conclusion

The objective of this chapter was to provide theoretical grounding for answering the research question. Specifically, the literature review aimed to meet the research objective to 'Review firm-level innovation literature in the context of developing countries, Cambodia and the microfinance sector'.

Despite the multitude of publications on the topics of innovation and microfinance, finding a conclusive theoretical grounding and empirical research specific to the research question of this study was not straightforward. However, whilst the review highlighted gaps in the scholarly focus pertinent to this study, it was useful in identifying the potential variety of innovations, motivations to innovate and the environmental factors impacting organisational innovation in developing countries, including that of MFIs, although the Cambodia-specific research question remains unanswered.

Nevertheless, the literature review informed the creation of the conceptual framework in Figure 1, inspired by the systems theory of innovation, incorporating the developing country specific variables discussed in this chapter, combining organisational, national and international factors, networks and learning environments.

Meso: Service providers and industry infrastructure (e.g. networks, IT providers, credit bureaus)
Macro: Policy, law, and the regulation and supervision framework (e.g. banking regulations, interest-rate policy)

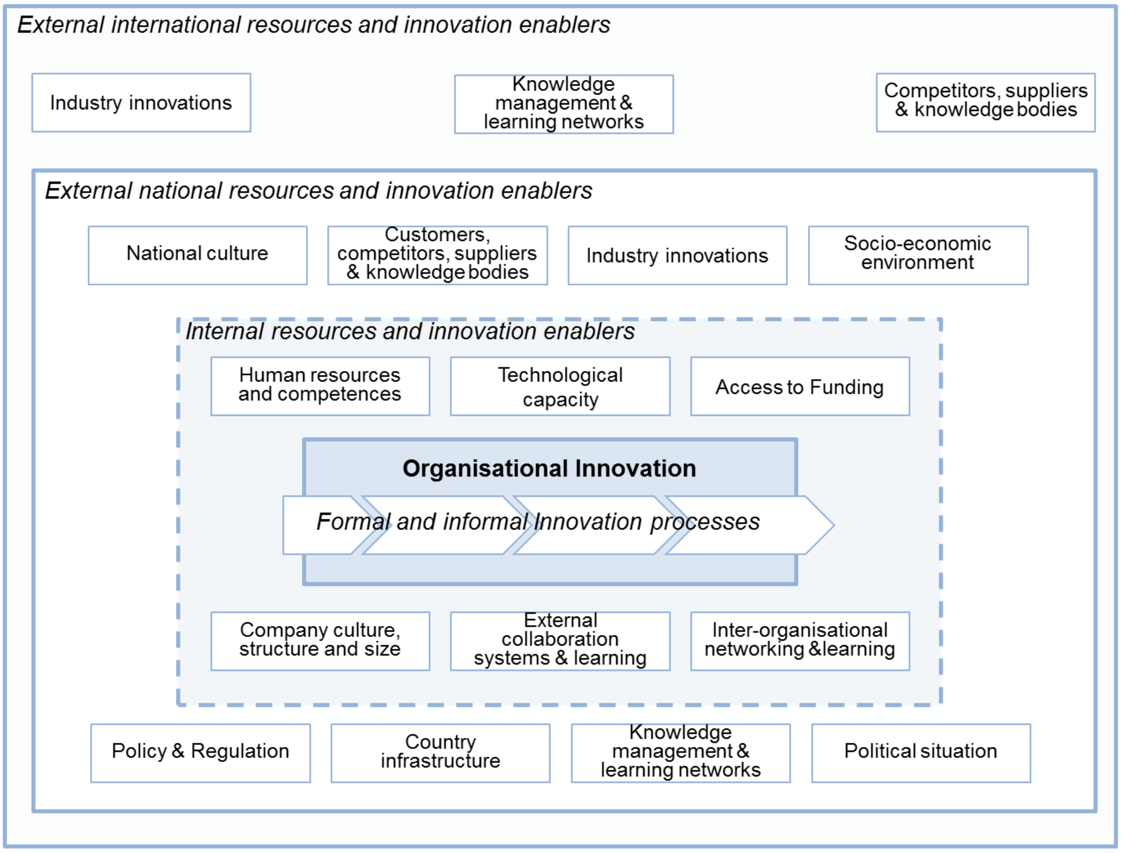

Figure 1 Systems innovation model for developing countries (Bínová)

Further, the discussed materials provide a sound basis for defining the research methodology, utilising gained insights in designing questions to be used during interviews, whilst helping to identify areas requiring more in-depth qualitative exploration.

3. Methodology

3.1 Introduction

This chapter outlines the methodology used by the researcher to acquire primary data required to answer the research question and meet the research objectives outlined in Chapter 1.3.

3.2 Research design

Research design is critical in determining the ability to acquire appropriate research findings addressing the research question and objectives. Frankfort-Nachmias and Nachmias (2007) see the right research design as a bridge between the theory and rationale for research, and the empirical data collected.

Despite microfinance being crucial to Cambodia's development agenda and innovation widely acknowledged as being key to MFIs effectively addressing the multitude of environmental challenges

(Kim 2000, Flaming et al 2005, ARCM 2005), no study was identified exploring the innovation-related behaviours of MFIs. The literature review highlighted that although innovation publications are plentiful, the stream of literature thins down as focus narrows on developing countries, practices specific to MFIs and finally, Cambodia.

The design of this research therefore utilises the known to create a framework to explore the unknown and little understood, whilst taking into account the ethical considerations and constraints dictated by the research environment and topic.

Although various research design approaches exist (e.g. Terre-Blanche and Durrheim 2002), Saunders et al's (2009) research onion (Appendix 1) was utilised as it conveniently provides a comprehensive, structured and clear framework for the entire process. Figure 2 illustrates the design choices for this research, using the research onion framework.

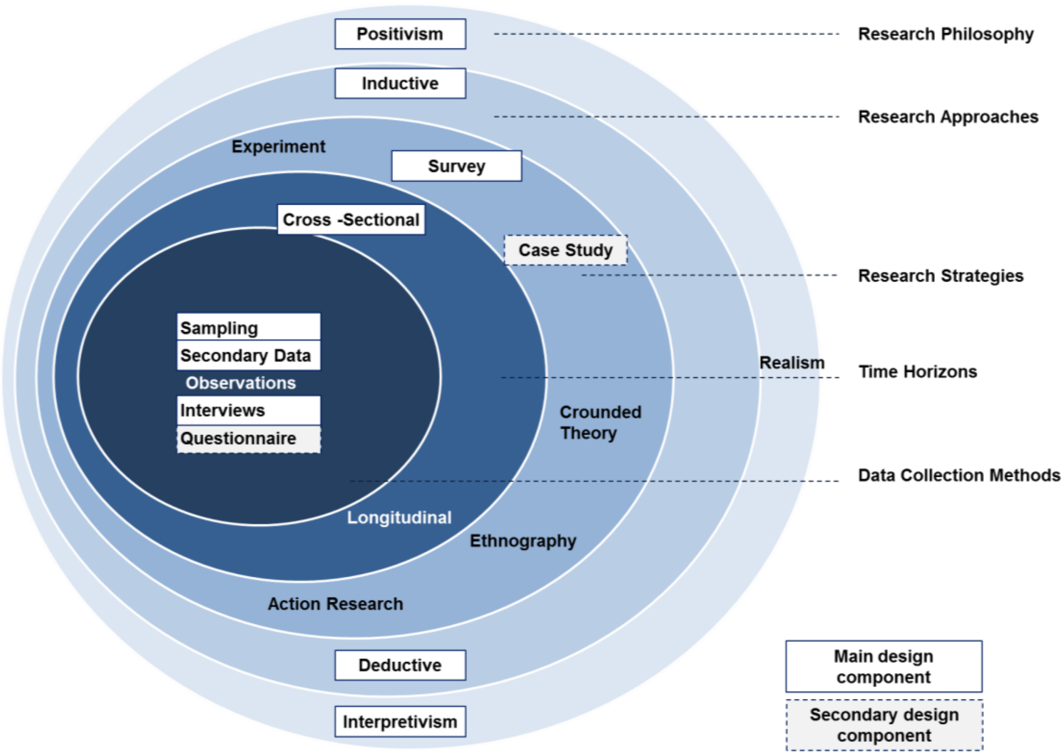

Figure 2 Research design overview (adapted from Saunders et al 2009)

Where the main design choices were driven by the research focus, context and literature review findings, some 'secondary design components' such as the case study (Figure 2) can also be considered as relevant when looking at the overall study design.

3.3 Research philosophy and approach

The research philosophy embraced for this dissertation is *post-positivism* combined with *interpretivism*, where the former drives the development of knowledge based on observable reality whilst recognising the influence of the researcher's own experience, limitations and biases, and the latter allows the participant and the researcher to 'construct' reality and increase understanding where it is lacking (Robson 2011).

This philosophy was adopted due to the existence of relevant knowledge and secondary data evidencing a gap in Cambodian MFI-specific understanding, requiring a more exploratory approach.

The researcher's own banking and microfinance sector experience and her research to date highlighting important themes and considerations were used to define the quantitative data collection component, fostering objectivity and comparability through controlled and logical fact-based evaluation of data *(post-positivism)* (Saunders et al 2009). Simultaneously, the confidential and sensitive nature of the subject, combined with lack of Cambodia-specific MFI innovation research called for a qualitative approach exploring the nuances and potentially hidden realities underpinned by the *social constructionist (interpretive)* philosophy. As Robson (2011) suggests, this approach is suitable 'to further our understanding' of the topic.

The researcher selected this dual-philosophy to foster comparability and measurability whilst enabling in-depth exploration. Based on the research philosophy, the researcher chose to utilise the deductive 'top-down' research approach, drawing on general understanding of organisational innovation practices in MFIs to facilitate identification of Cambodian MFI specifics, whilst using the inductive approach to illuminate findings where required.

Further, this research combines descriptive and exploratory approaches, facilitating generation of insights and understanding and exploration of causes and correlations respectively (Robson 2011), although as Fisher (2010) pointed out, it does not reveal the best action to take. This approach is enabled by the research strategy, drawing on a mix of data collection methods.

3.4 Research strategy and time horizon

The research strategy combining quantitative and qualitative methods is that of semi-structured face-to-face interviews, administered by a questionnaire allowing for some freeform answers, used as a high-level interview guide and distributed to the interview participants to enable familiarisation and preparation. C-level[5] executives from a sample of 10 (of 32 (NBC 2013)) licensed Cambodian MFIs knowledgeable about their institutional innovation practices were interviewed focusing on the MFI's innovation-related behaviours and processes, including innovation motivations and obstacles. This sample size was selected to enable some generalisation of results, aligned to the *post-positivist* philosophy.

This strategy is in line with views that qualitative and quantitative methods are complementary and interlinked (Ghauri and Gronhaug 2010) and multi-strategy research is increasingly seen as valuable

[5] Refers to highest-level executives in companies where their titles are usually abbreviated in 3-letter initials such as CEO – Chief Executive Officer, COO – Chief Operations Officer, CFO – Chief Financial Officer, CMO – Chief Marketing Officer, CIO-Chief Information Officer, and similar. In some companies, the C-level also includes titles such director (not a member of the Board of Directors though), president, vice president, head of function and similar.

(Robson 2011). Further, it could be argued that although it is not the main method, also case study strategy is relevant, where the Cambodian microfinance sector is the overarching case, with 10 embedded units of analysis corresponding to the interviewed MFIs (Yin 2009).

The anticipated respondents' reluctance to readily respond to written information requests resulting from the perceived confidential nature of company-specific innovation practices, determined the face-to-face data collection strategy instead of distributed surveys or questionnaires. Additionally, a survey or questionnaire would not allow for an in-depth exploration of focus areas, potentially leaving important aspects undiscovered. As O'Leary (2010) suggested, interviews facilitate the collection of 'rich in-depth qualitative data' and allow one 'to explore tangents'.

The semi-structured nature of interview underpinned by a list of consistent questions and terminology was used to enable easier measurability and comparability, advocated by Sapsford and Jupp (2006). Group research strategies such as focus groups would not be suitable due to logistical challenges and the anticipated reluctance to discuss innovation as a potential source of competitive advantage in a group.

Lastly, cross-sectional time horizon was used where interviews were completed by individual respondents at a single point in time each, as opposed to collecting data over multiple periods (longitudinal time horizon) (Saunders et al 2009).

3.5 Data collection methods design

The researcher referred to O'Leary's (2010) steps of planning, developing, piloting, modifying, implementing and analysing of the end-to-end interview process, including tips and common pitfalls, helping to ensure that all important aspects were considered and addressed.

To familiarise herself with Cambodian culture, its microfinance sector and to gain access to the target population, the researcher took a leave from her 'day job' and undertook a voluntary work placement with one of the leading MFIs in Cambodia. Once there, she approached the CMA, a professional body seeking to strengthen the local microfinance sector, to inform them of her intent and research objectives and appeal for help with facilitating access to a sample of licensed MFIs. This was kindly provided by a list of relevant MFIs and the appropriate contacts.

Targeting busy MFI executives determined the location and interview length of 45 minutes to 1 hour, with the interview always taking place in the MFIs' offices. Bryman and Bell (2007) emphasize the importance to sensitively approach participant's availability and minimise inconvenience. The time constraint further influenced the number and style of questions.

Designing the questions, the author utilised her secondary data review, as well as own professional experience. The first four questions explored the MFI's demographics including employee numbers, outreach, product offerings and financing sources to enable potential correlation analysis between company characteristics and innovation behaviours (see Appendix 3). The sixteen main questions were designed to gain insight into the MFI's innovation practices, including priority of innovation types and implementation examples, processes to generate and manage innovation ideas, important innovation motivators and obstacles.

Quantitative responses were structured using the Linkert scale or 'select all that apply' lists, sometimes complemented by priority ranking (O'Leary 2010). Qualitatively aimed open-ended questions afforded free discussion intended to explore the captured quantitative data or opportunistic discussions about identified tangents. The researcher sought the right balance between quantitative and qualitative questions, allowing time for rich open-ended discussion where required. Also Bryman and Bell (2007) opined that the free discussion characteristic for semi-structured interviews is more favourable to achieving free information flow than purely structured interviews.

The data collection tool and approach was tested with a non-MFI C-level executive, enabling its fine-tuning. This was valuable in refining the researcher's introduction of the topic to participants, as well as updates related to the wording and order of questions, resulting in a more intuitive flow.

3.6 Interview administration

An email was sent to C-level executives in a number of differently sized MFIs, introducing the researcher and research and asking for an interview (Appendix 2). The semi-structured questionnaire to be used in the interview was attached (Appendix 3), providing addressees with an opportunity to decide if an interview in English is practicable, familiarise themselves with the terminology, prepare responses to some questions by contacting relevant people in the MFI prior to the interview or recommend alternative contacts within the company. This ensured that only executives knowledgeable about the MFIs innovation practise were taking part in the interview, fostering research quality.

Interviews were organised using follow-up e-mails with interested MFIs. Additional introductory emails were sent to achieve a total sample of 10 participants, approaching MFIs in the underrepresented size category, enabling generalisation of correlations during data analysis if applicable.

As negotiating access to the target sample was critical (Robson 2011), the introductory email was sent directly to the target senior respondents, drawing on the valuable CMA input of appropriate contacts. Further, the email appealingly outlined the research purpose and the premise of sharing the final report with the respondents, providing insights into the sector cross-MFIs.

The semi-structured questionnaire was also used as an interview guide by the researcher, ensuring consistency of flow, terminology and definitions of innovation and innovation processes, shared with each participant to ensure common understanding.

Following the participant's consent, each interview was audio-recorded to minimise distraction and enable thorough post-interview transcription of qualitative answers. The researcher assured participants of the response anonymity, unless permission was granted beforehand. Answers to quantitative questions were captured on the printed questionnaire during the interview to enable easier following of progress by both parties. The researcher used plain English supported by explanations and examples of questions to minimise the potential language barrier and ensure all participants had a common understanding of the questions and context.

Following the interview, each participant received a 'thank you email' (Appendix 4), re-iterating the value of their input and assuring that upon the dissertation completion, each participant will receive a copy of the final report. A thank you email was also sent to the CMA, promising a copy of the final report and expressing appreciation for the support with facilitating the MFI contact, without which the research would have been very difficult.

3.7 Primary data analysis

The semi-structured interview was expected to produce three high level types of responses:

a) Quantitative responses including Linkert scale ratings, out of the list selections and rankings of options
b) Qualitative responses exploring quantitative questions in more detail
c) Opportunistic discussions on relevant tangents

The first two types of responses were captured and analysed using Excel. Multi-choice responses without ordinal component were frequency counted. In order to meaningfully evaluate ordinal questions, especially those which allowed different number of selected options, weighted counts were used reflecting the relative order and importance of items, as recommended by Maylor and Balckmon (2005). The table below shows the weighting scale defined for the data analysis of ordinal questions.

Rating	1	2	3	4	5	6	7	8	9	10	11
Weighting	1025	513	257	129	65	33	17	9	5	3	2

Table 4 Weighting allocation to ordinal question responses

The weighting system is based on the notion that two lower level responses have slightly more weight than one higher level response. For example, two second choices rank higher than one first choice. This further reflects the assumption that when participants selected and ranked a high number of responses to a single question, the first few highest ranked items are presumably more important than lower ranked options also considered but not perceived as critical. For presentation purposes, the resulting weighted rankings were transformed into percentages to enhance clarity and intuitiveness.

Responses to open-ended questions complementing quantitative questions with pre-defined options and scales were transcribed in Word, and following Glaser and Strauss's (1967) *grounded theory* approach were coded, categorised and aligned as an in-depth insight to the quantitative answers in

Excel, providing a more complete picture. Further, to analyse if trends exist between different segments, t-tests (Maylor and Blackmon 2005) exploring relationships between MFI demographics and responses were run using Excel.

Contents of opportunistic discussions not explicitly linked to any of the 16 main interview questions were also transcribed in Word. Following the same approach as with the open-ended questions, answers were categorised and coded (Coffey and Atkinson 1996) in Excel, looking for common themes. This *grounded analysis* (Glaser and Strauss 1967) where collected data is reviewed and analysed for themes, complements the *interpretive* philosophy, compared to for instance content analysis (Easterby-Smith et al 2010) testing a pre-defined hypothesis. However, the analysis of the data showed that all qualitative responses were related to one of the high level interview questions, pointing to the comprehensiveness of the interview design.

3.8 Validity

The importance of primary data validity is addressed through triangulation (Bogdan and Biklen 2006). The qualitative data gathered during the interview was used to triangulate the data gathered from the quantitative interview component and the literature review and is incorporated into the analysis and discussion section of the research. Further, emerging themes were cross-checked within- and across-interviews to increase confidence in the findings.

As Trochim (2007) opined, qualitative validity derives from credibility, transferability, dependability and confirmability, rather than from a set of objective criteria. The researcher asserts that this is achieved through the above steps, where the respondents' views are reiterated, triangulated and captured in rich detail, with transferability attempted through drawing of generalisations to the extent possible by the respective sample.

3.9 Ethical considerations

The CMA was contacted prior to the research commencement and informed of the study approach and objectives, seeking consent and support with contacting the MFIs. The objective was to ensure that potential cultural or in-country sector specific practices are not breached by initiating a direct MFI contact. CMA back-up was further seen as critical in getting traction when approaching the MFIs.

Each MFI was informed of the purpose and format of the research and provided the pre-defined questionnaire to be used during the face-to-face interview in advance, enabling them to make an informed choice if to participate. All participants were asked for their consent to audio-record the interview, with assurance that unless prior consent was given, all information would be presented anonymously. These conditions were acceptable to all participants.

The final research report will be made available to all interview participants and the CMA.

4. Findings; Analysis and Discussion

4.1 Introduction

This chapter presents the empirical data gathered during MFI interviews and their relation to the literature review. Quantitative data is complemented by qualitative findings gained during in-depth discussions. The study findings and the related discussion are presented in a single chapter, benefitting from the mixed research approach whilst offering an encompassing understanding of the findings.

Following an overview of the respondents' backgrounds and the MFIs' demographics, this chapter is divided into sub-chapters structured around logical themes identified during the interviews.

The addressed research objectives are:

- Assess which types of innovation are considered most important by Cambodian licenced MFIs and which are adopted in practice.
- Explore MFIs' internal processes and behaviours put in place to stimulate the generation and management of innovative ideas.
- Identify key motivating factors and obstacles to MFI innovation.

4.2 Respondents background and MFI profiles

The subject of research dictated the seniority of approached respondents, requiring insight into the MFI's innovation processes and practices, underpinned by the underlying motivations and strategic intent. As a result, senior management mainly represented by C-level executives was interviewed.

In a quest to gain a cross-industry innovation practice overview and to enable the exploration of correlations between MFI size and behaviours, MFIs of various sizes were approached. Based on the number of employees, the MFIs are categorised as small, medium, large and very large. Table 5 provides an overview of the interviewed MFIs, including size category, their report pseudonym and respondents' levels.

MFI size	MFI 'study name'	# of employees	# of interviewed MFIs	Respondent level
Small	SM1 SM2	<100	2	1 x Head of Operations 1 x CEO
Medium	MM1 MM2	101-500	2	1 x COO 1 x General Manager
Large	LM1 LM2	501-1000	2	1 x COO 1 x CEO
Very large	VLM1 VLM2 VLM3 VLM4	>1000	4	1 x CMO 3 x CEO

Table 5 Overview of interviewed MFIs per size category

With the exception of the two small MFIs where SM1 operates exclusively in rural areas and SM2 in urban areas, all MFIs operate across urban and rural areas, including Phnom Penh.

4.3 MFI size and access to funding

Although all MFIs benefit from external funding, the variety of utilised sources appears to increase with the MFI's size. Where small MFIs use local and foreign private investors, very large MFIs take advantage of a wide range of funding options including commercial and government loans and customer deposits, as illustrated in Figure 3.

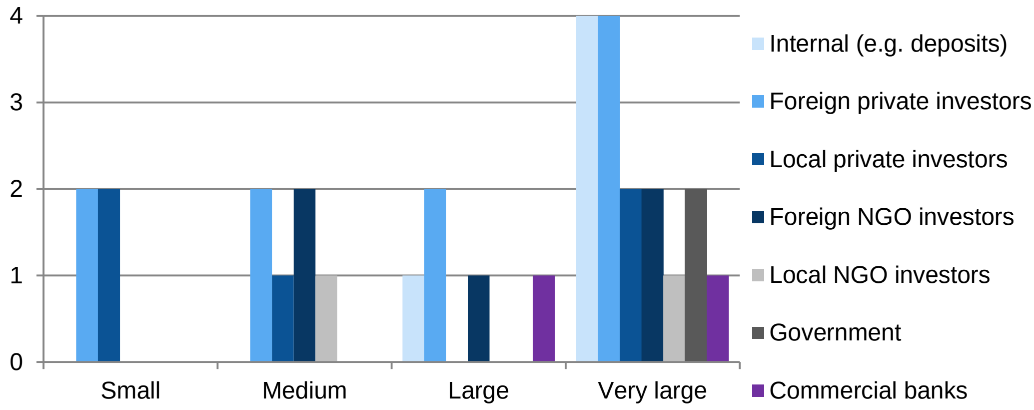

Figure 3 Utilisation of funding sources

This data invites a couple of conclusions. Firstly, the utilisation of external funding might suggest a lack of financial sustainability where MFIs' internal funds are insufficient. Secondly, there is a correlation between the MFIs' size and access to funding, which might impact their capacity to innovate.

The first assumption seems valid particularly with small and medium MFIs where the absence of deposit-taking license prevents them from pooling and reinvesting voluntary savings. However, even financially sustainable companies often use external sources of funding to manage risk and supplement internal cash-flows. The latter assumption seems supported by authors including Léger and Swaminathan (2005) and Dary (2013), who link the company size to their ability to innovate, also determined by the availability (or lack of) resources, including finance. However, the gathered data and the small sample size does not allow for a conclusive confirmation of either assumption.

4.4 MFI size and product variety

A similar pattern is apparent when looking at the product offerings. Whilst all MFIs offer credit products, the variety of offerings decreases with the MFI's size (Figure 4). Loans are the only products offered by SM1 and SM2, whilst MM1 also offers insurance and LM2 provides voluntary savings, payments and transfers. LM2's extended offering is mirrored by all very large MFIs, with some also offering remittance, currency exchange and insurance products. No MFI offered pensions or leasing in their portfolio. This indicates some product diversification as MFIs grow with potential space for new product innovation, with prevailing credit-focus across the sector.

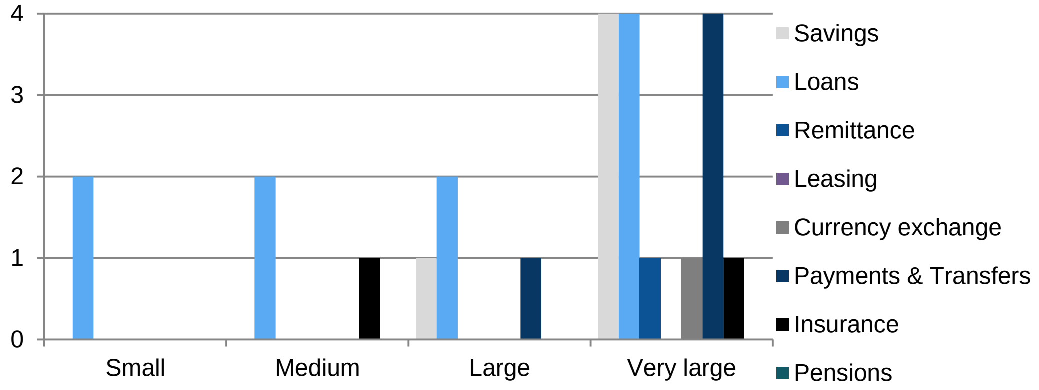

Figure 4 MFI product offerings

Whilst parallels could be drawn between MFI size and the ability to innovate demonstrated by the range of products, this would be an oversimplification omitting MFIs' strategic decisions. SM2, for instance, systematically specialises in niche loan products, addressing a gap in the market, whilst LM1 chooses to leverage its credit product expertise to innovate within its loan offerings, with non-credit product diversification being of a lower priority. However, some MFIs including MM2 aspiring to go beyond loan products, are limited by their size and capacity, as well as external factors. The obstacles to innovation will be more discussed in Chapter 4.9.

4.5 The importance of innovation to MFIs

Unsurprisingly, all MFIs perceive innovation as very (6 participants) or even extremely important (4), supported by an Accenture survey of 519 executives in large corporations where 93% saw innovation as essential to long-term success (Koetzier and Alon 2013). LM2 explained that 'In the current competitive market with increasing globalisation, innovation is very important. Without being innovative, we will not be able to compete'. LM1 said 'there is a need to be innovative to be competitive'. However, SM1 cautioned that it implements innovative ideas carefully. 'Innovation is not uniformly positive. As it is new, it needs to be tried and tested, to see if it is beneficial for the company. Innovation therefore promises rewards but also carries risk.'

Slightly more surprising were MFIs' perceptions of their effectiveness at being innovative. Despite the multitude of challenges faced by MFIs (e.g. Kim 2000, ARCM 2005, Flaming et al 2005) and the globally high fail-rate of innovative ideas (Goffin and Mitchell 2010), only 40% of MFIs thought their organisational innovation practices were 'mediocre'. The remaining 60% saw themselves as very (50%) and extremely (10%) effective (Figure 5), inconsistently with the Accenture survey results, where only 18% of executives believed their innovation processes were delivering a competitive advantage (Koetzier and Alon 2013).

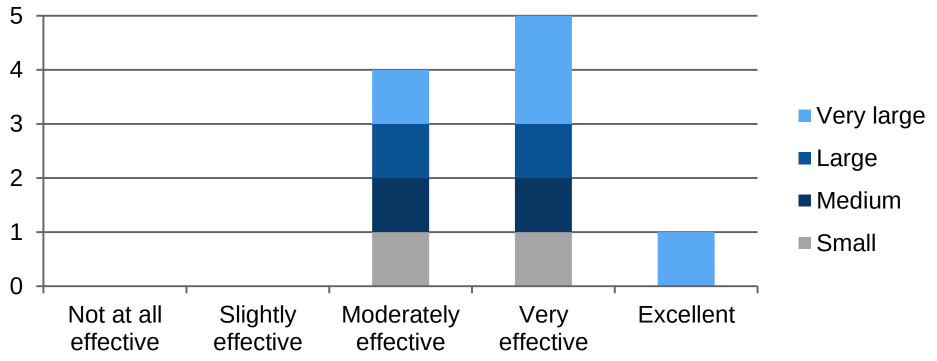

Figure 5 MFIs' effectiveness at being innovative

MM1 saw their key to effectiveness as 'good assessment processes of innovation ideas' and SM2 emphasized their differentiated offering unique in the market, targeting customer segments under-served by MFIs and commercial banks alike. VLM2 then recounted their 'demonstrated aptitude for client-centric product design' aligned with 'client income-cycles and needs' underpinned by an ability to 'read market and translate it into innovative products and strategies'.

However, VLM3 said that 'managers are responsible for their scope of work today and have less time to explore alternative opportunities', and MM2 added that the company is 'relatively new and so are the employees. More learning is required to become effective at innovation'. LM2 admitted that whilst next year's strategy is more innovative forced by the competition, there is space for improvement.

Further, this self-evaluation of effectiveness appears to be MFI size-independent, unlike the size/variety correlation suggested by the funding sources and product offering data in previous sections. This might seem counterintuitive, contradicting e.g. Hobday (2005), Havelock and Huberman (1979) whose opinion is that small and medium companies in developing countries lack the necessary skills and resources for effective innovation. MM2 supports this by saying that 'weak governance, financial structure and position of the MFI', as well as 'quality of MIS system' determine the ability to innovate effectively. These variables 'give advantage to big MFIs and MFIs who have been in the market for a while'. Nevertheless, without an in-depth data about MFIs reasoning for given responses, the answers must be taken at a face value.

4.6 Innovation type focus

In order to identify innovation priorities, respondents were asked to order various innovation types in sequence of importance. Product innovation topped the ranking with six MFIs highlighting it as their priority, three MFIs making it their second choice and one their third. This corresponds to Von Stamm's (2008) and Drew's (1995) argument that product innovation is perceived as most important.

In comparison, corporate strategy and customer-facing process innovation were each selected only twice as a top priority, with all other innovation types perceived less important. 'HR innovation' has been named by three MFIs as 'other' type of innovation to be considered, with SM1 and VLM1 seeing it as third and second most important type respectively. Figure 6 shows the weighted ranking (see Methodology Chapter) of all innovations transferred into a scale of 100 for clarity.

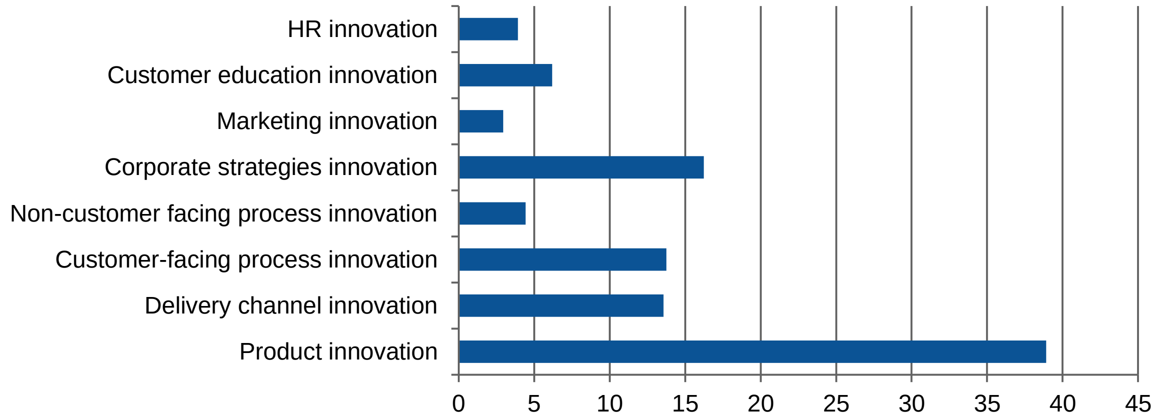

Figure 6 Innovation type prioritisation

In respect to a practical implementation of innovation in the past two years, product innovation has predictably dominated in all MFIs. Eight MFIs have also implemented marketing innovation, seven customer-facing process innovations, and six have innovated their customer education, corporate strategies and non-customer facing processes. Delivery channel and HR innovation have been implemented by four and three MFIs respectively (Figure 7).

Despite the prevailing product focus, MFIs' innovation efforts have been much broader. On average, each MFI has introduced an innovation in five of the eight outlined innovation categories, with SM1 reporting three out of ten innovation types whilst SM2 and VLM1 innovated in seven and all eight of the innovation areas respectively. Interestingly, this is somewhat inconsistent with the innovation prioritisation, where e.g. marketing innovation ranked low, although eight out of ten MFIs have implemented it in the last two years. On the other hand, whilst delivery channel innovation ranked amongst the four most important, in reality, it was the second least implemented type.

These discrepancies might arguably be related to the relative difficulty of pursuing certain innovation types considered important. Innovation obstacles discussed in Chapter 4.9 might shed some light, where e.g. delivery channel innovation involves insight into available technology, bigger funds, regulatory challenges and scarcer skills than marketing innovation, paralleling the four main innovation obstacles. Still, more research is needed into impediments related to specific innovation types to conclusively explore the causes for identified differences.

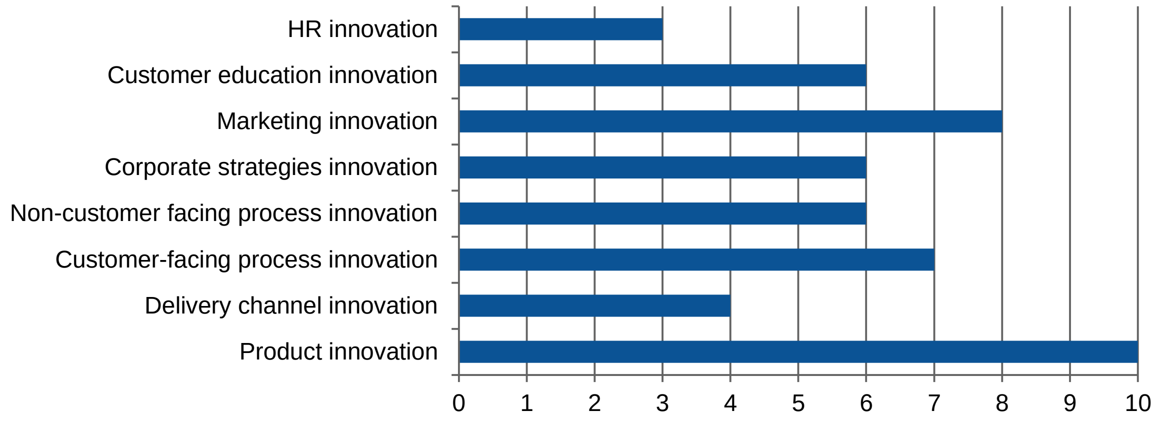

Figure 7 Innovations implemented in last two years (Q1 2011–Q1 2013)

The variety of innovation pursued by MFIs is best seen in Table 6 (Appendix 5), summarising the examples in each category discussed during interviews. This range of efforts aligns with Schmidt and Rammer (2007) who assert that focusing on products when studying organisational innovation provides only a limited insight. It is further supported by other authors writing about microfinance listing process, corporate strategies, HR innovation (e.g. Lariviere and Martin 1998), marketing innovation (UNCTAD 2007) and presenting numerous examples of customer education (e.g. Kasat 2010, Mahajan and Vasumathi 2010) and distribution channel innovation (e.g. Lonie 2010), highlighting the diversity of innovation efforts pursued by MFIs.

4.7 Innovation practices and processes

4.7.1 Internal communications

The reported high importance of innovation also appears to translate to the MFIs' communications. 80% of MFIs said innovation is an integral part of the MFIs' internal communications, with the remaining two MFIs admitting they only communicate the role of innovation 'sometimes, when there is a good opportunity' (Figure 8). The means of communication vary, ranging from training and newsletter to regular or ad-hoc meetings, open house sessions and leadership field visits.

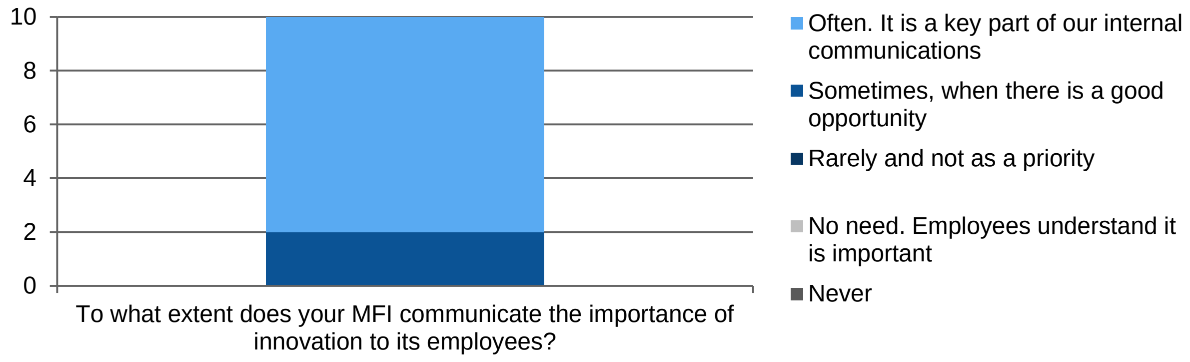

Figure 8 Innovation importance communications by MFIs

However, SM1 advised that the label 'innovation' is generally not used, echoed by LM1. Instead, communications centre on the need to raise ideas and opportunities to drive sustainability, effectiveness, efficiency, competitiveness and service improvement.

4.7.2 Methods to generate and develop innovative ideas

To explore how and if MFIs proactively pursue identification of innovative ideas and opportunities through collaborative methods within the main offices, from field staff and by proactively gathering customer feedback, respondents were asked to answer a set of three questions outlined in Figure 8. In addition, they were encouraged to provide practical examples supporting each answer.

Overall, proactive identification and discussion of innovative ideas and concepts seems to take place at least sometimes in all MFIs. This aligns to one of the 5th generation models principles (Rothwell 1992) where intra-/inter-organisational networking and collaboration including customer engagement is one of the determinants of successful innovation. However, although the quantitative data shows a fairly consistent effort to engage employees and customers supported by a variety of methods (Figure 9), qualitative feedback suggests a number of shortcomings.

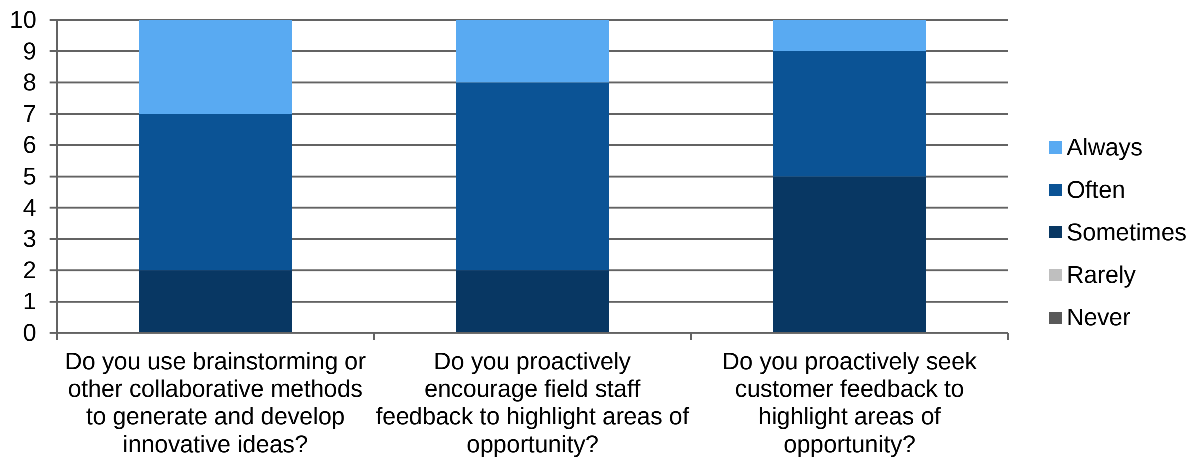

Figure 9 Idea generation and management

4.7.2.1 Collaborative idea-generation and management methods

Perhaps unsurprisingly, the most frequent idea-generation and development effort takes place in the MFIs' main offices, driven by middle and senior management (Figure 9, column 1), which is also where the decision-making power sits. This does not mean, however, that innovation is the domain of management. MM1 frequently validates ideas with operational staff, recognising the value of their customer and operational insights. Also LM1, VLM4, SM1, VLM1 foster top-down and bottom-up idea sharing and validation, with regular meetings or focused sessions set-up to discuss specific concepts.

Workshops and brainstorming sessions (VLM3/SM2/VLM4/SM1/VLM1/LM2/MM1/LM1), small group discussions (VLM2/VLM1), management meetings (MM1/LM1/VLM1/SM1), creative problem-solving (SM2/SM1), as well as informal targeted discussions (VLM3/MM2/SM2) are some examples of utilised forums. The focus of these sessions varies from general meetings where new ideas can be raised and discussed, to ad-hoc discussions explicitly aimed at validating and developing specific innovative ideas identified internally or observed in the market.

VLM2 said that innovation-related discussions generally happen 'ad-hoc as everyone has their own pace and forced brainstorming is unlikely to yield quality results'. This is supported by LM2's statement that discussing innovative ideas is generally 'not an organised effort but rather an ad-hoc opportunistic' set-up.

VLM2, VLM4, SM1 specifically mentioned the relevance of having pointed discussions about innovations already implemented in the local or international microfinance sector, paralleling UNCTAD's (2007) and Shenkar's (2010) assertion that imitation is an important source of innovation in developing countries. However, recognising the importance of local context, VLM4 asserts that 'copying innovation from outside countries is not sufficient. Clients and staff must be listened to to understand what customers need', paralleling the argument that innovation must create value (Hattori and Wycoff 2002).

4.7.2.2 Field-staff innovation input

Field-staff feedback gathering (Figure 9, column 2) appears to an extent incorporated in the fabric of each MFI. Six MFIs confirmed they 'often', two 'always' and two 'sometimes' actively encourage their field staff to raise ideas and suggestions for improvement. The more formalised methods range from a dedicated call-centre (VLM2), field visits (VLM2/VLM3/MM2), workshops and knowledge-sharing sessions (LM1/MM2/MM1/VLM3/SM2/VLM4/VLM1), staff survey and anonymous feedback requests (LM2/VLM3/VLM1) and feedback box (VLM3) to an open-doors policy (MM1/VLM4).

However, VLM2 reflects that 'it is one area where we fail'. LM1 says that 'getting ideas from field staff is difficult because of Cambodian culture. Employees are shy to share ideas with management'. This echoes Mai's (2013) view that Cambodian high power distance collectivist culture, using Hofstede's (2011) cultural dimensions, make idea sharing with superiors difficult. VLM4 confirms that 'staff are often shy', although there are some exceptions. Nevertheless, field-staff feedback is seen by VLM4 as 'key to innovation'. MM1 confirms this challenge by saying that its open-doors policy is 'not very successful', echoed by SM1.

Still, LM2 says that whilst new product ideas generally come from external parties and market research, 'product modifications normally come from the field staff'. VLM2 then believes that getting staff feedback requires trust, which is difficult to gain during time-limited field visits or on-the-phone. Also SM2 agrees that a relationship of trust without fear of implications is required, taking time to establish, particularly in Cambodian culture. Thus whilst MFIs recognise the value of field-staff feedback administered through numerous methods, their effectiveness is somewhat impaired.

4.7.2.3 Customer innovation input

Contrary to MFI staff engagement, only 5 MFIs proclaim they 'always' (1) or 'often' (4) seek customer feedback, with the remaining 5 only 'sometimes' (Figure 9, column 3). The methods include a periodic customer satisfaction survey (VLM2/VLM3/MM2/VLM4/VLM1/LM2/MM1/LM1), demand survey (MM1) customer exit survey (VLM2/MM1/LM1), call-centre (VLM2/VLM3/VLM1, LM2) field staff visits or branch staff questions (VLM3/MM2/SM2/VLM4/SM1/VLM1/LM2/MM1/LM1) and suggestion box (VLM3/MM2/SM2/VLM4).

Also here challenges exist. MM2 'tested suggestion box but low customer education meant it was not used'. SM2 said that 'verbal complaints during staff visits are a good source of innovative ideas' as 'Cambodians are very shy to write anything down'. Also VLM4 agrees that 'there is a big step from having an opinion and writing it down', making suggestion boxes not very effective. MM2 has 'future plans for a call-centre because research shown this is the most likely vehicle to be used', supported by VLM3 claiming that call centre is the 'most convenient and most used'. However, VLM2 says that whilst call-centre is used, 'not many innovative ideas' are raised, echoed by VLM4.

Arguably, the abovementioned Cambodian culture analysed along Hofstede's (2011) culture dimensions also here impacts customers' readiness to share ideas (Mai 2013), combined with the social aspects of varying customer literacy and education levels (Aubert 2005), impacting adoption of some feedback methods.

4.7.3 3rd Party collaboration and learning

Although collectively, interviewed MFIs collaborate with a wide range of external parties (nationally and internationally), including various specialists such as training and marketing experts, NGOs, commercial financial institutions, research and educational bodies, service providers and even other MFIs, two collaboration types stand out (Figure 10). Eight MFIs confirmed they use topic-specific consultants, and seven MFIs work with investors and donors to generate, validate and develop innovative products and approaches. The remainder of the identified collaboration partners is utilised by one (5 categories) or two (3) MFIs only, e.g. research and educational bodies seem underutilised. Further, only LM1 pursues innovation activities solely internally.

On a high level, these findings reflect the view external collaboration is a vital source of innovation ideas and knowledge (e.g. Eich 2010, UNCTAD 2007), creating ‘interactive learning spaces’ promoted by Arocera and Sutz (2005). It is supported by VLM4’s statement that ‘cooperation with other parties is important to being innovative. It facilitates access to new knowledge’. However, VLM2’s response they are ‘not asking for ideas. Instead, they already have an idea and are looking for validation and concretisation’ including guidance on practical implementation in a local context, implies the main value is seen in adoption and implementation guidance of already identified or observed innovations. Such interpretation corresponds to Kim’s (1980) argument that the learning from others how to import, adapt and improve identified innovations (and imitations) is extremely valuable.

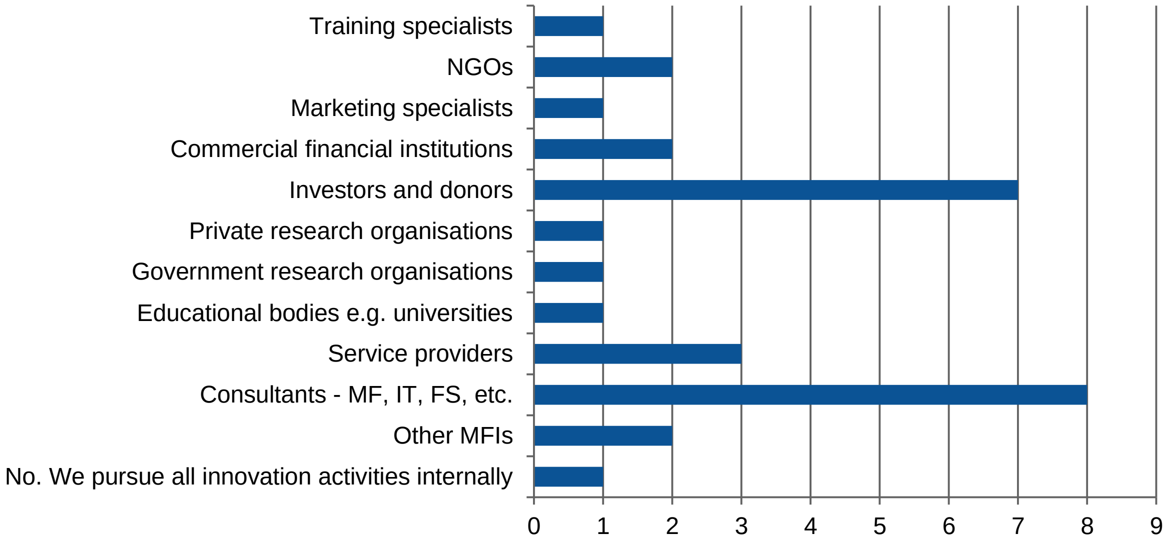

Figure 10 MFI innovation-related collaboration with external parties

For instance, VLM2 engaged investors to provide support with operationalising ‘mobile savings’ offerings, SM2 used marketing specialists to ‘design new powerful adverts’, SM1 approached insurance providers to validate their aspiration to provide ‘micro-insurance’ and VLM1 worked with consultants to develop an innovative ‘social performance management strategy’. It also supports the argument that imitation is an important source of innovation in developing countries (UNCTAD 2007, Shenkar 2010) with VLM3 saying that ‘Ideas taken from outside must be reflected to internal context related to culture and risk profile’.

4.7.4 Idea-tracking and management tools

To explore the formality and organisation of innovation processes, MFIs were asked if they use innovation idea tracking and management tools. Six MFIs confirmed using office tools, with the remainder seeing their innovation as more ad-hoc (Figure 11). However, qualitative data shows that even within these six MFIs, the use of tools is rather de-centralised and fragmented, often without end-to-end visibility of all innovation ideas being raised and developed.

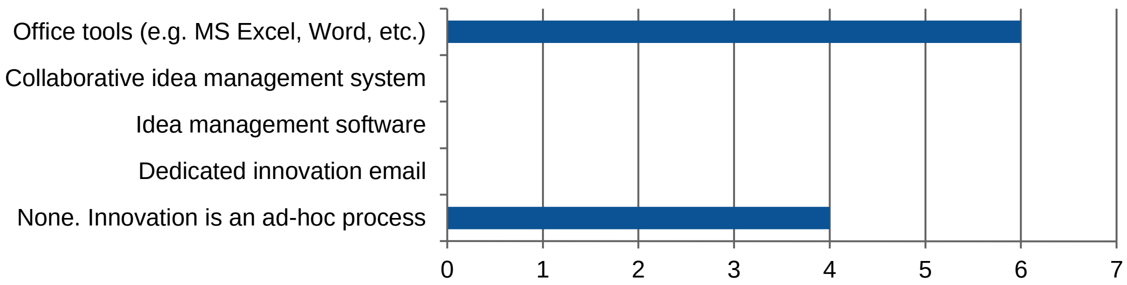

Figure 11 Use of tools to manage innovative ideas

MS Word, Excel and PowerPoint were generally identified for tracking innovative ideas, in form of meeting minutes, discussion write-ups and survey outcomes. However, most MFIs (LM1/MM1/MM2/VLM3) confirmed that there is not a central idea/opportunity repository. Instead, each unit and department keeps their own records, without end-to-end visibility. Interestingly, also MFIs who did not report to use tools (SM2/SM1/LM2/VLM4) said they use MS office tools to keep meeting minutes, where innovation ideas can be captured.

VLM2 said that on field level, 'ideas are captured in Excel, kept in a dedicated folder and then prioritised. But on management level, it is ad-hoc and fragmented'. VLM3 echoed that there is no 'end-to-end view' of ideas, until they are prioritised and incorporated into the strategic agenda. Only one MFI, VLM1 said that the strategy department is the central owner of innovation, using Excel to track and prioritise ideas.

It seems that with the exception of VLM1, until innovative ideas are validated, selected for implementation and incorporated into the formal strategy (VLM3/VLM1), the responses suggest innovation is rather an ad-hoc process without a centralised tool support. This parallels views that in developing countries without a dominant R&D department (OECD 2010), innovation is rather an informal process happening in an ad-hoc and organic way (e.g. Hobday 2005, Kim 1980).

4.7.5 Informal innovation processes

To assess the extent to which MFIs' formal innovation processes drive the introduction of new and improved products, services and procedures, respondents were asked to evaluate a statement shown in Figure 12. Three MFIs 'strongly agreed', six MFIs 'somewhat agreed' and one MFI 'strongly disagreed'.

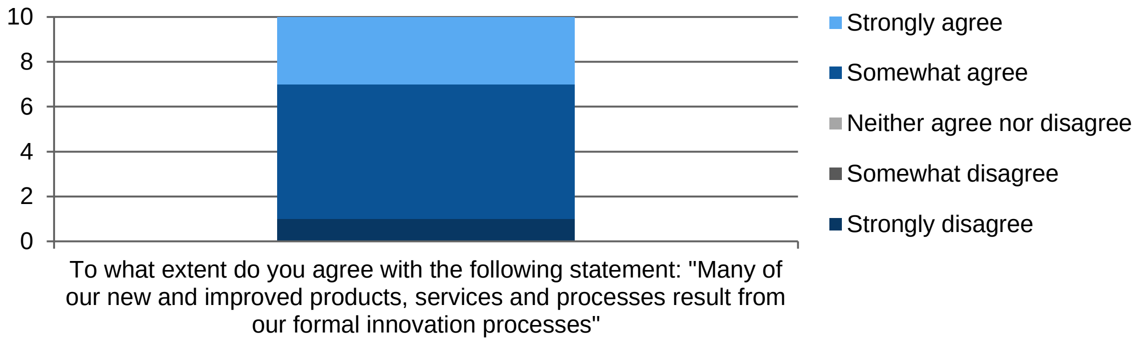

Figure 12 Innovation resulting from MFIs formal innovation processes

With the exception of MM2, LM1 and VLM1 who seem to heavily attribute innovation successes to their formal innovation processes, the remaining MFIs suggest that whilst innovation processes are in place (including formalised components) and somewhat effective, they are generally rather informal and ad-hoc (MM1/LM2/VLM4/SM2/VLM2). VLM2 said that 'ideas just happen and are then followed upon but the process is not very formal. If processes are too formal, people will come up with things for the sake of it, but the quality will not be there'. VLM4 said that although formal processes are in place, 'innovation also happens very informally'. SM1 strongly disagreed that innovation comes from formal processes by saying that 'innovation is an informal process'.

These findings partially support views (e.g. Hobday 2005, Arocera and Sutz 2005, OECD 2010) that innovation processes in developing countries, particularly in small and medium enterprises are generally informal. This is also aligned to the limited use of idea-management tools (Chapter 4.7.4.), whereas the partial agreement with the process component reflects the idea-generation and development mechanisms discussed in Chapter 4.7.2. However, detailed data analysis did not show any correlation between the MFI size and use of tools or formality of processes, inviting generalisation across licensed Cambodian MFIs.

4.8 Motivating factors

Whilst innovation is generally seen as desirable, respondents were asked to identify key motivating factors, prioritising their responses. Figure 13 shows the weighted results converted to a scale of 100 (see Methodology Chapter).

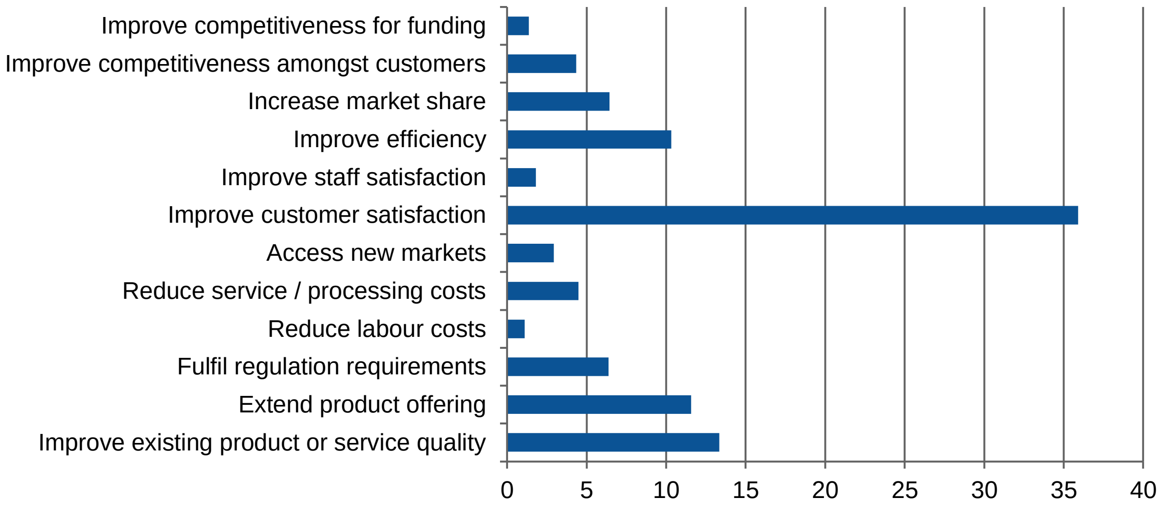

Figure 13 Motivations for innovation

Whilst MFI motivations for pursuing innovation vary, the improvement of customer satisfaction has been most often identified as a top priority (6-times). SM1 said that any innovation 'that helps to achieve the mission and vision of MFI and improve the life of clients' is prioritised. Also LM1 saw the achievement of the MFI's mission and vision as the key motivating factor, with product offering extension being top priority, followed by quality increase. Product or service quality improvement, extending existing offerings and efficiency improvements were other factors appearing as top two priorities. The remaining motivators, although seen as relevant by the virtue of being selected, seem to be of lesser importance.

Dary (2013) opined that MFIs have a dual mission of social performance and profitability. The most prioritised factors of customer satisfaction enhancement, new product development and quality improvement seem to support this by addressing the customer (and indirectly the community) well-being aspect of MFI agendas whilst driving financial rewards, supported by strong focus on efficiency improvement. These findings further support Hans's (2009) emphasis of innovation playing role in increasing customer satisfaction. Arguably the prioritised motivations for innovation positively impact MFIs' competitiveness, helping to overcome the much discussed competition challenge (e.g. Flaming et al 2005). Further, the strong credit focus attributed to Cambodian microfinance industry (e.g. Channy 2010) appears to be addressed by the motivation to extend product offerings, although without product type details this cannot be confirmed.

4.9 Innovation obstacles

Contrary to innovation motivations where customer satisfaction dominates across most MFIs, the range of prioritised obstacles is broader. Figure 14 shows the weighted results of applicable obstacles prioritised by MFIs. The top five obstacles most often prioritised by MFIs include insufficient information on technology, lack of funds and skilled staff, regulation and lack of customer responsiveness. Interestingly, VLM2 added staff failure to compellingly communicate new ideas to management and the lack of staff confidence in own ideas to the list as top priorities, which parallels the challenges experienced during field-staff feedback gathering, discussed in Chapter 4.7.2.2.

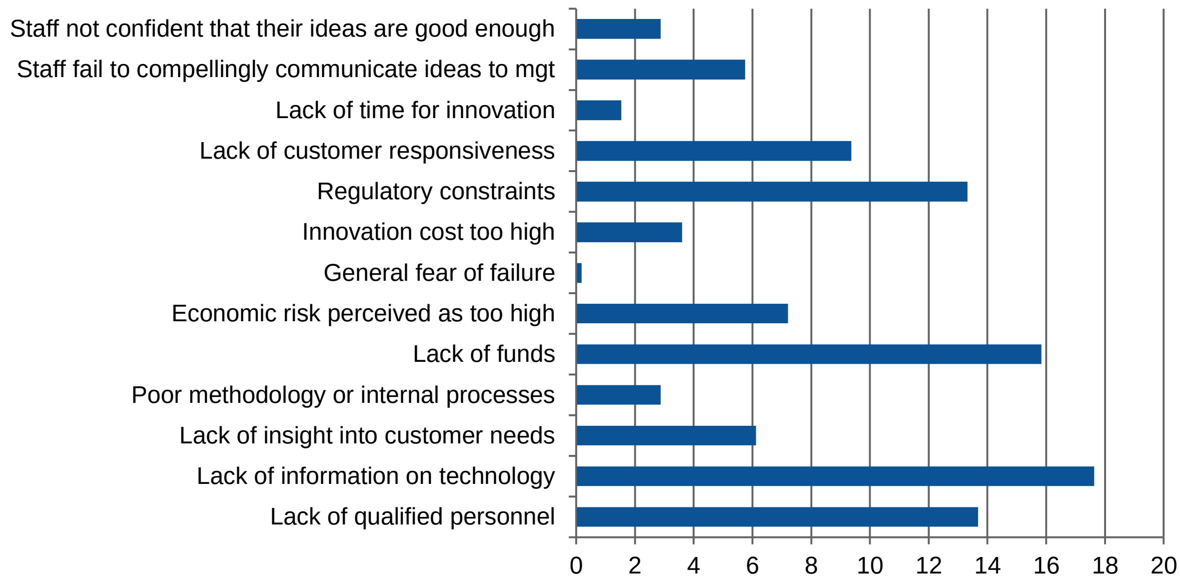

Figure 14 Obstacles to innovation

The two obstacles related to lacking employee skills and knowledge (including MFI management) to innovate reflect views that firms in developing countries can suffer from sub-optimal education levels and limited staff experience and knowledge required for innovation (e.g. Léger and Swaminathan 2005, Hobday 2005), as well as limited access to information (e.g. Arocera and Sutz 2005). MM2's medium size and tough competition apparently make recruitment of high quality staff difficult, whilst LM1 said that 'without knowledge on IT, it is difficult to see all the possibilities of how to innovate'.

VLM2 specifies that whilst their staff is qualified to perform their roles, different type of skills and knowledge is required to be innovative. Also LM2 said that knowledge is lacking to 'assess which foreign products and offerings are applicable to Cambodia'. This seems to correspond to Arocera and Sutz's (2005) assertion that it is not pure access to information, but the lack of learning and development experiences related to innovation, preventing MFIs from effectively assessing innovative ideas. It further suggests a link to the 'lack of funds' obstacle, with LM1 saying that without the capability to identify viable innovations, the MFIs ability to source funds to innovate is impaired.

Further, the regulatory landscape in Cambodia seems to hinder MFI innovation, in particular in respect to new product development (MM2/SM2/VLM3/VLM1/MM1). VLM1 explained that beyond traditional credit products, specific licences and creative partnering are required to offer savings, insurance and other services. VLM1 further added this is a compelling reason why many MFIs aspire to transfer to commercial banks, avoiding these regulatory limitations. Whilst the role of regulation in protecting customers is undisputed, it seems that in line with e.g. Aubert (2004), Llanto and Fukui's (2006) cautions, regulation can be a major obstacle, which is to an extent the perception in Cambodia, evidenced by the interviewee responses.

Lastly, responses indicate customers are reluctant to adopt new products and services. Aubert (2005) cautioned that developing economies with weak knowledge base are limited in their ability to adopt innovation. MM2 said this is particularly the case with customers reluctant to use e.g. phone and internet, resulting from low education levels where customers ‘do not understand new technology’. They expanded that ‘for a country like Cambodia’, although ‘mobile phone subscribers are in significant numbers’, most of them due to level of education and application features of the mobile phone operators ‘experience many obstacles to use the device for microfinance. Even to top-up credit balances is challenging.’ Also VLM4 said that ‘customers are often very difficult to educate about new products and the need to adopt these’, giving the example of ATMs. MM1 states the example of insurance, where adoption has been very slow. However, it can be argued that in Cambodia, the customer distrust in MFIs (Channy 2010) is influenced by the historical Khmer Rouge abolition of the financial system.

4.10 Conclusion

In a quest to satisfy the research objectives outlined in Chapter 4.1, the gathered primary and secondary data was analysed and discussed, looking for trends and generalisations. In summary, it is argued that the primary research findings proved useful in generating insights pertinent to each of the research objectives, although further, focused research would be required to explore specific areas where generalisation and conclusions were not possible due to small sample size or the unavailability of data, resulting from different focus of this research.

Finally the analysis supports the viability of the developing country systems innovation model constructed as an outcome of the literature review (Figure 1 copy).

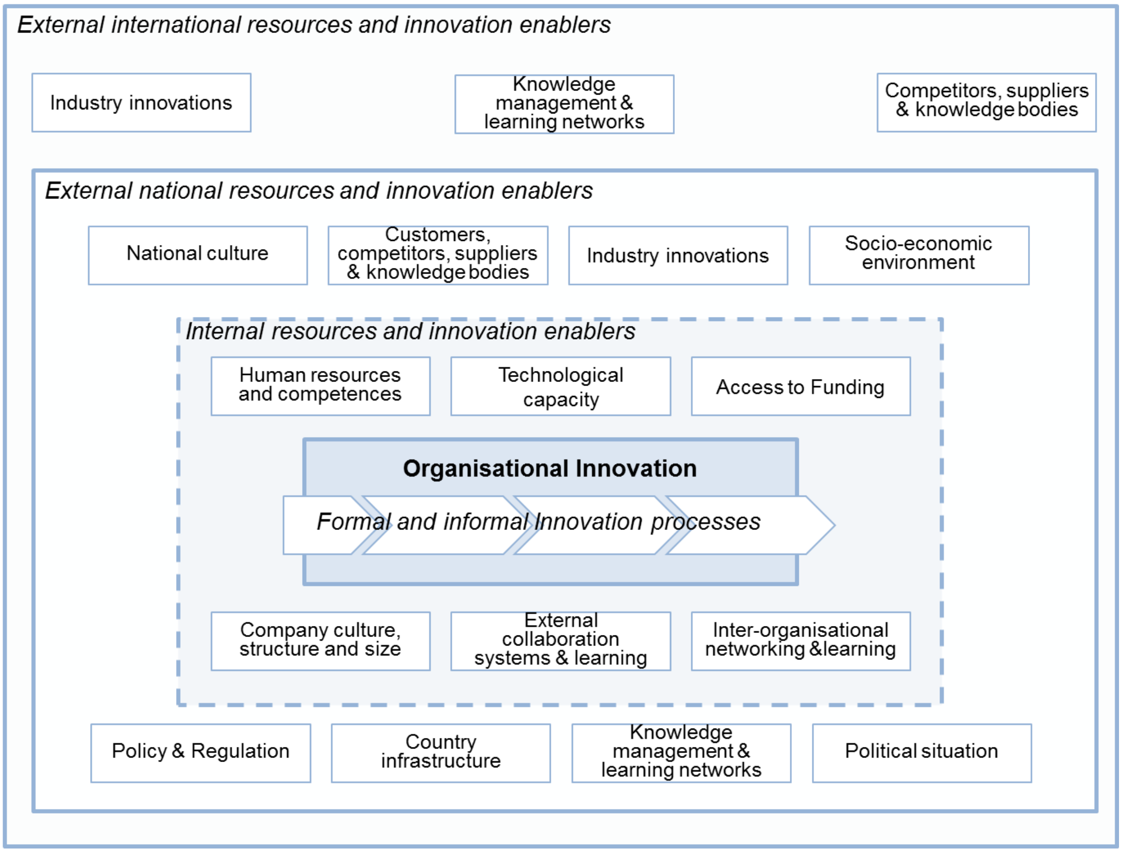

Figure 1 (copy) Systems innovation model for developing countries (Bínová)

Although this study highlighted differences amongst MFIs', the high level MFI-, national- and international-level contextual factors outlined in the model have arguably proved to be of a consequence.

5. Conclusions and Recommendations

This chapter presents conclusions and recommendations, based on the results of this study, supported by identified limitations and the author's reflection on the dissertation process. The study's combined descriptive and exploratory approaches helped to generate insights contributing towards answering the research question. However, as Fisher (2010) cautioned discussing such approaches, the study has not explicitly revealed the best action to take. Nevertheless, it is arguably valuable in providing a foundation for future research focusing on specific aspects aspiring to inform MFI, as well as sectorial developments.

5.1 Conclusions

Licensed MFIs in Cambodia perceive innovation as very or extremely important, although correlation seems to exist between their size and the variety of utilised sources of funding, as well as the range of offered services. This could be loosely interpreted as a direct relationship between their size and ability to innovate, although further study using a larger sample is recommended to support this indication; especially, as MFIs' appraisal of their own innovation effectiveness seemed size-independent, with four differently-sized MFIs seeing their effectiveness as 'mediocre'. Also responses to the remaining interview questions, whilst answering the main research question of 'How do Cambodian MFIs translate the environmental pressures and aspirations to innovate into their internal processes and practices' and helping to meet the sub-objectives (see next 3 sections), did not show a clear correlation between MFI size and organisational practices and views.

5.1.1 Innovation priorities versus implementation

MFIs saw product innovation as the most important, supported by many examples of new and enhanced products and services implemented in the past two years, paralleling Von Stamm's (2008) and Drew's (2005) views. However, whilst strategy, customer-facing processes and delivery channel innovation were also ranked in the top four, the implementation record was different, showing discrepancies including marketing innovation being the second most implemented type, reflecting Schmidt and Rammer's (2007) assertion that product innovation alone is unrepresentative of the broad range pursued by companies.

5.1.2 MFI processes and behaviours

All MFIs communicate the importance of innovation at least sometimes to their staff, although the term 'innovation' might not be used. Similarly, all MFIs at least sometimes proactively pursue field-staff and customer feedback and engage in collaborative idea-generation and development methods. Interestingly, in line with UNCTAD (2007) and Shenkar (2010), many MFIs said that innovation discussions particularly in the main office frequently centre on imitating concepts from others.

However, despite the wide range of idea-gathering methods, challenges exist, impairing the adoption or correct utilisation of available media. The collectivist Cambodian culture of high power distance (Hofstede 2011, Mai 2013), combined with sometimes sub-optimal customer literacy and education levels (Aubert 2005) means staff and customers often feel uncomfortable openly sharing ideas, or adopting some feedback-methods (customers) such as suggestion boxes. Further, MFI views about the effectiveness of some feedback methods such as call-centres varied.

The analysis further showed that although external collaboration as an important source of ideas, learning and knowledge (e.g. Eich 2010, Kim 1980, UNCTAD 2007) is in place, only consultants, investors and donors are frequently used, leaving other channels underutilised.

Lastly, although six MFIs reported to use office tools for innovation idea tracking and management with three MFIs strongly agreeing to formal innovation processes being an important source of implemented innovations, qualitative analysis highlighted lack of centralisation with innovation tracking being mainly ad-hoc and processes often informal. This parallels views (Hobday 2005, Arocera and Sutz 2005) that innovation processes in developing countries are often informal.

5.1.3 Innovation motivations and obstacles

Customer satisfaction is a clear motivator for innovation, followed by new product development, service quality enhancement and efficiency improvement, aligned to Dary's (2013) assertion that MFIs have a dual mission, pursuing social impact and profitability. This in turn arguably enhances competitiveness, addressing one of the main sectorial challenges in Cambodia (Flaming et al 2005, ARCM 2005).

Contrastingly, exploring innovation obstacles highlighted a wider range of similarly perceived challenges, with insufficient information on technology, lack of funds and qualified personnel and regulatory challenges, followed by customer responsiveness being the top five. These correspond to challenges discussed by e.g. Lundvall et al (2002) and Hobday (2005) (lacking employee skills and knowledge), Arocera and Sutz (2005) (limited information access), Llanto and Fukui (2006) (regulation) and Aubert (2005) (poor customer adoption).

5.2 Limitations

Although this study contributed to answering the research question and meeting the objectives, a number of limitations need to be acknowledged. Firstly, the relatively small sample size allows for some high-level generalisations, although generalisations per size-category, whilst partially invited by the findings, cannot be confirmed.

Secondly, the research sought to explore the unexplored in the given context, offering a high level understanding and insight into the innovation practices, views and behaviours of licensed MFIs in Cambodia. This intentionally broad focus led to the identification of contradicting views, misalignments and implied yet unconfirmed generalisations, impracticable to explore in detail as part of this study yet rendering a closer look.

Thirdly, despite the researcher's effort to consistently explain definitions and concepts, re-phrase questions and answers, and check understanding, the Cambodian culture combined with the interview being in English might have impacted the responses with a level of interpretation required on both sides.

5.3 Reflection on the dissertation process

Writing a dissertation has been an exciting yet challenging experience, predominantly due to the significant demand on my time and mental capacity fully utilised by my full-time work. Despite the amount of readily available advice, the dissertation process was a taxing journey of discovery and iterative documentation, enabled by the great support network of my family, friends and colleagues.

With face-to-face access to my research sample being critical to the success of my dissertation, I used an unpaid leave from my work to travel to Cambodia, where I spent a couple of months working in an MFI whilst conducting research. This pre-work would not have been possible without the invaluable support of CMA and AMK, making an appropriate strategy to negotiate access to the target sample a number one lesson.

The second lesson was the importance of doing as much pre-work as possible, before the official module start. Here I was forced to sharpen my organisational and time-management skills, reading through many publications I knew would be needed to effectively define my research objectives, design the research and complete my proposal. Whilst this helped me to set off on the right foot, I did not appreciate the level of iterations the dissertation process requires, fuelled by the range of consulted publications and adjustments in my own thinking. Frustrating at times, the recurring end-to-end checks of the developing dissertation helped me to stay on course and create a logically flowing first draft.

Lastly, another important lesson is that of allowing sufficient, and the right time. Needing to get into the right 'mind-set' before writing, I soon realised that large chunks of time instead of many snippets are necessary for me to be productive. Instead of using an hour after work each day, I dedicated my weekends and took 'study holidays', allowing me focus, re-read what already existed and process it, before continuing writing. Similarly, with my brain tending to slow down with the passing hours, I organised my days to start early, leaving late afternoons and evenings for my ever so patient friends and family tolerating my later-hour intellectual downtime.

5.4 Future research recommendations

Several recommendations for further research have been identified, centring around large sample sizes and/or specific focus on aspects unable to explore during this study. Specifically, research exploring the relationship between MFIs' size and innovation ability to the variety of offered products and utilised sources of funding is recommended. Further, an analysis of the causes for discrepancy between the prioritised and implemented innovation types is suggested, exploring the relevance of the various innovation obstacles to each of the innovation types. Additional research exploring the most appropriate and effective idea generation and gathering methods from staff, as well as customers is seen as valuable, informing the MFIs organisational processes. An analysis of the regulatory landscape in light of the sectorial developments is also recommended, informing policy fostering adoption of innovation by MFIs whilst protecting customers. Lastly, exploring optimal MFI collaboration models with external parties fostering knowledge exchange and learning, applicable to MFIs' internal strategies and a centrally supported framework is recommended.

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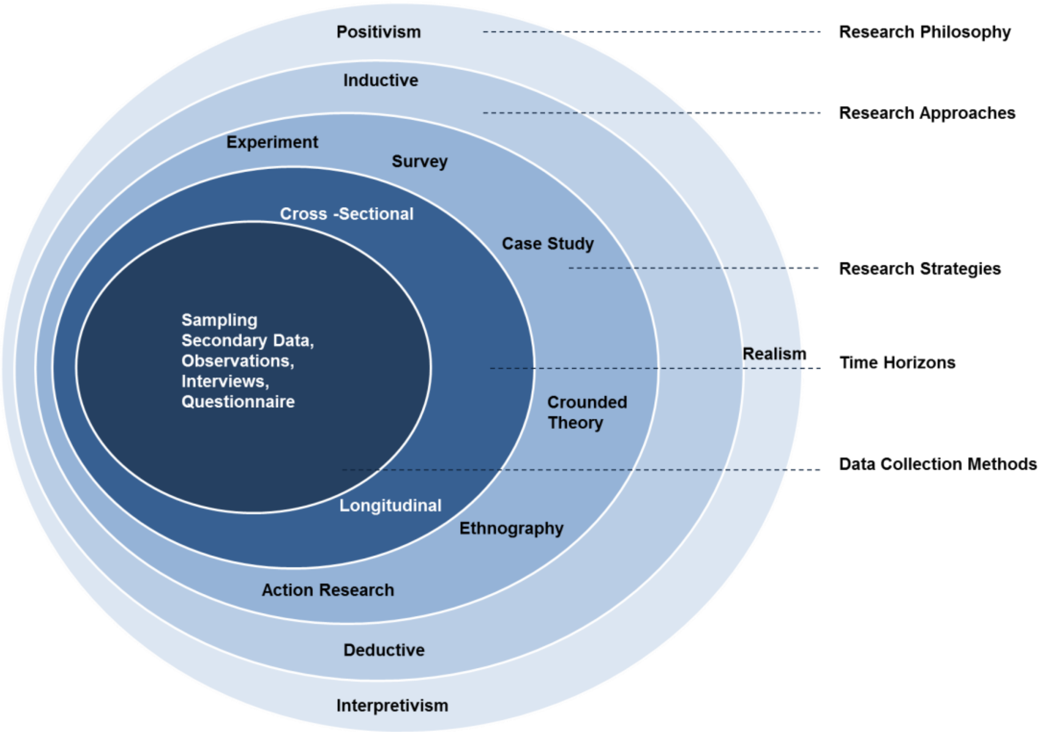
7. Appendix

Appendix 1 – The research onion (Saunders et al 2009)



Appendix 2 – Semi-structured interview invitation to participants

Participants were provided a copy of the interview questions prior to the interview by attaching a questionnaire to the email invitation. This was to ensure that:

a) Only interviewees knowledgeable about the MFI's innovation practices and processes are taking part in the interview
b) Participants have a chance to familiarise themselves with the topic language and terminology and to establish if they are comfortable communicating in English during the interview, reducing the language barrier limitations which might surface during the actual interview
c) Participants have had the opportunity to think through outlined questions and potentially engage other people within the MFI responsible for aspects addressed in some questions to ensure answers to all questions are available during the interview

Sample email invitation to interview participants is below. Each invitation was personalised, reflecting the particular MFI and circumstances

Subject: MFI innovation research

To Mr. [name], CEO of [MFI name]

Dear Mr. [name]

I am writing to you regarding a research into Innovation practices and processes amongst Cambodian MFIs, which I am currently undertaking in Phnom Penh. I have received your contact details from CMA's General Secretary, as a suitable person to contact in this matter. So far I have been able to interview 8 other MFIs and would be much grateful for your cooperation.

The objective of my research is to explore what types of innovation are important for MFIs, how is innovation enabled and pursued within organisations in terms of formal and informal processes and what are the potential barriers to being innovative.

I would be grateful for your cooperation in conducting a face-to-face interview (45mins-1hour) about microfinance innovation processes and strategies within your organization. This interview would be partially based on a questionnaire to provide structure and facilitate focus. The questionnaire is attached for your reference.

As a background, I am an experienced management consultant with international work experience including microfinance, currently studying for a Masters degree in Leading Innovation and Change.

I appreciate you are very busy and sincerely hope in your support in this matter as your input would be greatly valuable and much appreciated. I also believe that the final outcome of this research to be shared with your organization would provide you with a valuable insight.

I look forward to hearing from you.

With sincere regards,

Marcela Bínová

Appendix 3 – Semi-structured interview questionnaire

MFI Innovation Survey – Cambodia

Thank you for taking the time to complete this survey. Your input is extremely valuable to us and unless agreed otherwise, quantitative survey results as well as specific qualitative feedback will be kept anonymous.

The objective of this survey is to explore innovation practices amongst Microfinance Institutions (MFIs) in Cambodia.

This survey has been designed to form a basis of a structured interview with opportunities to discuss specific areas in more detail as and where appropriate.

General MFI information

Date:

Name of MFI ....

Name of respondent ....

Job title of respondent ....

Contact details of respondent (in case follow-up clarification is required):

Telephone no. .... *Email* ....

How many employees does your MFI have?

☐ 1 – 24 ☐ 25 – 50 ☐ 51 – 100 ☐ 101 - 500

☐ 501 – 1000 ☐ 1001 – 2000 ☐ > 2001

What is (are) your source(s) of funding? (Select all that apply)

☐ Internal only (e.g. deposits) ☐ Foreign private investors ☐ Local private investors

☐ Foreign NGO investors ☐ Local NGO investors ☐ Government

☐ Other (please specify) ....

In which area(s) do you operate? (Select all that apply)

☐ Phnom Penh ☐ Other urban ☐ Rural areas

☐ Other (please specify) ....

What type of products does your MFI offer? (Select all that apply)

☐ Savings ☐ Loans ☐ Insurance

☐ Leasing ☐ Payments and transfers ☐ Pensions

☐ Remittance ☐ Other ....

Innovation activities and processes within your MFI

Innovation refers to the intentional identification and implementation of new or significantly improved systems, processes, products, procedures or methods of working that are perceived as new within the context of your MFI or microfinance in Cambodia generally.

Innovation activities and processes refer to all those steps necessary to identify, develop and implement new or improved products, processes or other types of innovation.

This section contains 16 questions and should take approximately 35 minutes.

1. ***How important is innovation to your MFI?***

☐	☐	☐	☐	☐
Not at all important	Slightly important	Moderately important	Very important	Extremely important

2. ***How effective is your MFI at being innovative?***

☐	☐	☐	☐	☐
Not at all effective	Slightly effective	Moderately effective	Very effective	Excellent

Additional comments:

3. ***What type of innovation is the most important to your MFI?***
(Please order all items 1-7 with 1 being most important and 7 least important. If you consider other innovation important, please specify and include in the ranking.)

* Product innovation (e.g. development of new & improved products and services) ☐
* Product / service delivery innovation (e.g. ATMs, payment terminals, mobile banking, 3rd party agents) ☐
* Customer-facing process innovation (e.g. credit scoring, account opening) ☐
* Non-customer facing process innovation (e.g. risk management, knowledge sharing) ☐
* Corporate strategies innovation (e.g. strategic partnering, market diversification) ☐
* Marketing innovation (e.g. marketing channels, marketing strategies) ☐
* Customer Education (e.g. pictorial leaflets, financial literacy seminars) ☐
* Other (please specify): .... ☐

4. ***What type of innovation has your MFI introduced in the last two years?***
(Please select all that apply and provide specific examples)

* Product innovation (e.g. development of new & improved products and services) ☐
* Product / service delivery innovation (e.g. ATMs, payment terminals, mobile banking, 3rd party agents) ☐
* Customer-facing process innovation (e.g. credit scoring, account opening) ☐
* Non-customer facing process innovation (e.g. risk management, knowledge sharing) ☐
* Corporate strategies innovation (e.g. strategic partnering, market diversification) ☐
* Marketing innovation (e.g. marketing channels, marketing strategies) ☐
* Customer Education (e.g. pictorial leaflets, financial literacy seminars) ☐
* Other (please specify): .... ☐

Additional comments and innovation examples:

5. ***To what extent does your MFI communicate the importance of innovation to its employees?***

☐	☐	☐	☐	☐
Never	No need. Employees understand innovation is important.	Rarely and not as a priority.	Sometimes when there is a good opportunity.	Often. Innovation is a key part of our internal communications.

6. Do you use brainstorming or other collaborative methods to generate and develop innovative ideas?

☐ Never ☐ Rarely ☐ Sometimes ☐ Often ☐ Always

7. If you answered yes to the previous question (question 6), what are the idea-generation and development methods you use?

....
....
....
....
....
....
....

8. Do you proactively encourage field staff feedback to highlight areas of opportunity?

☐ Never ☐ Rarely ☐ Sometimes ☐ Often ☐ Always

9. If you answered yes to the previous question (question 8), what are the means of obtaining field staff feedback? *(e.g. staff innovation surveys, knowledge sharing sessions)*

....
....
....
....
....
....
....

10. Do you proactively seek customer feedback to highlight areas of opportunity?

☐ Never ☐ Rarely ☐ Sometimes ☐ Often ☐ Always

11. If you answered yes to the previous question (question 10), what are the means of obtaining customer feedback? *(e.g. structured survey during customer visits, informal inquiry during customer visit, etc.)*

....
....
....
....
....
....
....

12. ***Do you proactively co-operate with external parties on innovation activities and processes? If so, with what type of organisation? (select all that apply)***

- No. We pursue all innovation activities internally ☐
- Other Microfinance Institutions ☐
- Microfinance, IT or financial services consultants ☐
- Service providers ☐
- Educational institutions e.g. universities ☐
- Government research organisations ☐
- Private research institutes ☐
- Investors and donors ☐
- Commercial finance institutions ☐
- Other (please specify): ....

13. ***What tools does your MFI use to track and manage innovative ideas? (Select all that apply)***

- None. Innovation is an ad-hoc process in our company. ☐
- Dedicated 'innovation' email ☐
- Idea management software ☐
- Collaborative idea management system ☐
- Office tools, e.g. spreadsheets ☐
- Other (please specify): ....

14. ***To what extent do you agree with the following statement: Many of our new and improved products, services and processes result from our formal innovation processes.***

☐	☐	☐	☐	☐
Strongly disagree	Somewhat disagree	Neither agree nor disagree	Somewhat agree	Strongly Agree

<u>Additional comments:</u>

15. ***What is the motivation for pursuing innovation activities in your MFI?***
(Please order all items which you consider important in an ascending order, with 1 being most important, 2 second most important, 3 third most important etc. Only rate items which you consider to be motivating factors for innovation in your MFI)

* Improve existing product or service quality ☐
* Extend product offering ☐
* Fulfil regulation requirements ☐
* Reduce labour costs ☐
* Reduce service / processing costs ☐
* Access new markets ☐
* Improve customer satisfaction ☐
* Improve staff satisfaction ☐
* Improve efficiency ☐
* Increase market share ☐
* Improve competitiveness amongst customers ☐
* Improve competitiveness for funding ☐
* Other (please specify): .... ☐

Additional comments:

16. ***What are the biggest obstacles to innovation in your MFI?***
(Please order all items which you consider important in an ascending order, with 1 being most important, 2 second most important, 3 third most important etc. Only rate items which you consider to be hindering factors for innovation in your MFI)

* Lack of qualified personnel ☐
* Lack of information on technology ☐
* Lack of insight into customer needs ☐
* Poor methodology or internal processes ☐
* Lack of funds ☐
* Economic risk perceived as too high ☐
* General fear of failure, e.g. reputational impact, personal impact ☐
* Innovation cost too high ☐
* Regulatory constraints ☐
* Lack of customer responsiveness to new or improved goods or services ☐
* Lack of time for innovation ☐
* Other (please specify): .... ☐

Additional comments:

Thank you for your time in completing this survey.

This survey has been designed by Marcela Bínová (email address [redacted] in order to conduct a research into innovation amongst Cambodian MFIs. Gathered data will be used as a basis for a Masters degree in Leading Innovation and Change.

Information provided in this survey will be used to determine trends and patterns, with all respondents remaining anonymous. Any use of respondents' or company names (to e.g. quote statements from respondents) will be agreed on a case by case basis prior to its inclusion in the Masters paper.

Appendix 4 – Thank you email to interview participants

Sample email sent to all participants post the interview completion – each ‘thank you email’ was personalised to reflect the specific circumstances.

Subject: MFI innovation research

Dear Mr. [name],

Many thanks for your time this morning and your valuable input.

It has been most interesting talking to you and I wish you a good luck with the launch of you new Education Loan.

As I mentioned during our meeting, I will make sure that once all the interview data is analysed, you receive a copy of the final report. I expect this to be in the 2^{nd} half of this year.

If I can be of any assistance in the future please feel free to contact me using the details below.

With kind regards,

Marcela Bínová

Appendix 5 – Innovation examples introduced by interviewed MFIs in the last two years

Table 6 Innovations introduced by interviewed MFIs in the last two years (Q1 2011 – Q1 2013)

Product innovation	• Enhancement of individual- and group-lending methodologies • New credit, insurance and savings products • New loan product features designed to the specifics needs of NGO partners • Simplification of product features to meet client demand • Enhancement of loan features to suit target customer segment needs e.g. agriculture-cycle alignment • Customer life-cycle incorporated into the loan / housing-planning to meet immediate needs whilst providing for future expansion • Loans provided in Thai Baht • Foreign currency exchange • Payroll services to NGOs and SMEs • Money transfers and payments offering • Insurance and mobile banking pilot
Product / service delivery innovation	• ATM network introduced with other delivery channels in the pipeline including mobile, PoS and Internet • Cash-less repayment using electronic transfer • Mobile savings
Customer-facing processes	• Credit scoring during customer-facing product application enhanced • Streamlining of customer servicing and on-boarding processes at the counter and in the field to improve efficiencies and effectiveness and customer experience • Staff are consultants and not repayment collectors, driving customer relationships and satisfaction • Introduction of front-desk to improve customer experience • Investigation into using ATMs for account opening to increase customer flexibility and eliminate need to visit the branch
Non-customer facing processes	• Social and financial performance management enhanced • Client protection and transparency measures strengthened • Customer segmentation enhanced, ensuring the right product is targeted at the right customer • State of the art banking system introduced enabling settlement and collections processing through a commercial bank • Introduction of a new core-banking platform driving efficiencies • Credit scoring enhancement driven by the Credit Bureau of Cambodia credit reporting initiative • AML guidelines introduced • Improvement of research processes to enabler better product design
Corporate strategies	• Strategic partnering with NGOs and government organisations to provide complimentary education services to clients • Strategic partnering with NGOs, designing specific loans fitting NGO demand • Strategic partnering with property developers and NGOs to undertake housing development for properties to be financed by the MFIs housing loans • Introduction of customer segmentation to drive focus • Market growth and expansion into rural areas supported by the expansion of branch network • Product diversification to enter new markets e.g. payroll

	• Strategic partnering with 3rd parties to inform new product and service development • Use of consultants to supplement in-house capabilities • Increased importance of change management to ensure company-wide buy-in to new initiatives and offerings and effective roll-out and adoption of enhanced processes • Close co-operation with the board of directors to validate and priorities innovation initiatives, using industry expertise
Marketing	• Brand and product promotion campaigns • Expansion to mass-media including TV, radio, Internet, social media, newspapers, magazines • Brand management through colour scheme, font, corporate material templates • Tuk-Tuk advertising • Mobile billboards • Savings product marketing talking to children at school • Leaflets • Strategic partners used to promote MFI services • Word of mouth seen as the most effective
Customer education	• Free consultation on housing and finance management provided outside of the sales process • Visual and audio educational materials used to raise awareness and educate customers • Credit officer delivers basic financial literacy training in target communities, generally using the village leaders house or the community hall • Client manual introduced • Compulsory training on financial literacy • Income-generation activity training predominantly with agriculture focus • Customer income-generating activity training conducted in a group and driven by client demand • Child education aimed at raising financial services awareness from a young age • Partnering with NGOs and government institutions to deliver training courses • Follow-up with the client introduced to assess training effectiveness
HR management innovation	• Knowledge sharing and learning processes and initiatives enhanced to maximise utilisation of market data for product / service design • Training focus on soft skills to build better client relationships • Capacity building assessment and enhancement to improve staff effectiveness and productivity • Staff satisfaction survey introduced • Staff incentives scheme introduced with different variable pay components for different staff groups